

# UCE ENTREPRENEURSHIP EDUCATION NOTES 2025

## CHAPTER: BUSINESS PLANNING

**Business planning** is an activity that involves organizing, implementing and controlling the different business activities from the beginning to the end.

**Business plan** is a written, document that summarizes the operational and financial objectives of the business and it contains detail plans and budget on how the business objectives are to be realized

### **Users of business plans**

- (i) The entrepreneur
- (ii) Managers
- (iii) The government
- (iv) Suppliers
- (v) Other customers
- (vi) Employees/workers
- (vii) Investors/financiers
- (viii) Regulatory bodies like NEMA, URA, etc.

### **Reasons for preparing a business plan**

- To test the feasibility of a business idea.
- To attract investors in the business.
- To act as a tool for management.
- To secure funding like bank loans.
- To act as a timetable for implementing business activities like an Action Plan.
- To assess the viability of the business.
- To make business implementation manageable and effective.
- To assist management in goal setting and long-range planning.
- To act as the basis for obtaining permission to start business.
- To highlight on challenges before solutions are provided for in advance.
- To help the entrepreneurs to define specific objectives and goals.
- To reveal the gaps for further research.
- To help the entrepreneur to assess the SWOT of the business.
- To attract employees in the organization especially the Organizational plan.
- To give a new business the best possible chances of success.

### **Steps/stages/procedures involved in preparing a business plan**

- **Selecting/identifying a business opportunity to undertake.** This involves scanning the environment so as generate many ideas as possible so that the best idea can be chosen.
- **Conducting market survey/research for the selected business opportunity.** This enables an entrepreneur to obtain information concerning customer needs.
- **Collecting/gathering all the relevant information or data** concerning the different aspects of the business.
- **Drafting the business plan.** This involves writing down the contents or components of a business plan like the marketing plan, organizational plan etc.
- **Discussing the drafted business plan with technical/experienced persons in the similar field.** This is done so as to get better advice which is used to improve on the business idea.
- **Finalizing the business plan.** This involves adding more valued or elements after consultation so as to come up with a business plan which meets business standards.
- **Preparing an action plan for the implementation of the business.** This acts as a timetable for implementing business activities.

### **Factors that limit/challenges/barriers to the successful implementation of business plans**

- Limited funds to undertake the planning process.
- Limited skilled labour thus failing plans.
- Political instability in some parts of the country thus limiting effective planning.
- Choosing unprofitable business opportunities.
- Incompleteness of business plans.
- Under developed infrastructures like the roads this hindering the planning process.
- High rates of inflation which makes the planning process expensive for the entrepreneur.
- Over ambitious plans which cannot be achieved within the available resources.
- Limited data or information thus making planning difficult.
- High levels of corruption and embezzlement of funds by some workers.
- Low levels of technology thus hindering the planning process.
- Government interference in the planning process thus failing the successful implementation of business plans.
- Limited raw material or resources thus failing some business plans.
- Limited co-operation among the stakeholders thus failing the planning process.
- Laziness among the entrepreneurs hence making planning difficult.

### **Measures that can be undertaken to ensure successful/effective implementation of business plans in Uganda**

- Acquiring loans from financial institutions like banks.
- Conducting market research so as to choose or profitable business opportunity.
- Training of labour so as to acquire the required skills.
- Maintaining political stability in the country.
- Ensuring that business plans are drafted and completed.
- Developing of infrastructure like roads.
- Ensuring economic stability in the country thus reducing on the cost of planning.
- Setting of realistic targets that are achievable within the available resources.
- Involving all decision makers in the planning process like customers, suppliers etc.
- Requesting for government support like tax holidays

### **Elements/components/contents/aspects/the structure of a good business plan**

**1. Executive summary:** This refers to the aspect/section of the business plan that gives the brief overview of the business. ie what the business is all about. Or

It is an over view that summarizes the key points in the business plan.

#### **Components/elements an Executive summary**

- **The background of the business.** This includes the name of the business, address, location and benefits of the business.
- **The objectives of the business.** This shows the main reason for establishing the business
- **The key products/services of the business,** here an entrepreneur describes the nature of the products or service to be offered.
- **The key members of the business.** For example, shareholders, managers etc.
- **The projected growth of the business.** i.e. the rate at the which the business is expected to expand in terms of sales, market share etc.
- **The funding requirement of the business.** This shows the sources where business funds will come from.
- **The competitive advantage of the business.** i.e. the factors which enable the business to provide the same product or service in the better way than the competitors
- **Future plans.** i.e. what the business intends to do in the future i.e. what business intends to do in the future.
- **The vision and the mission statement of the business.** i.e. the overall purposes of the business.

- **Brief overview of the market for the business products and services.** i.e. the targeted customers of the business products or services.
2. **General description of the business:** This refers to a statement that shows the name, ownership products, location and the SWOT analysis of the business. Or

This refers to the section of a business plan that describes in details what the business is all about.

#### **Components/elements of General description of the business**

- Business name and address. This shows where the business is found.
- Business location. This shows the physical area where the business is established.
- Purpose of the business. This shows the vision, mission, goals and objectives of the business.
- Goods or services offered.
- Customers of the business.
- Date of establishment of the business.
- The competitors of the business.
- Nature of ownership of the business. i.e. sole proprietorship, partnership etc.
- The SWOT analysis of the business. It shows the strengths, weaknesses, opportunities and threats of the business.
- The uniqueness of the business.
- Sources of funds of the business.
- Description of business assets.

#### **3. Statement of vision, mission, goals and objectives**

**Mission statement:** This is a brief statement that gives the overall purpose, reason why the business was established, its values and products produced. Or

This is a brief statement that gives the overall purpose of the business, its values and products it sells or plans to sell.

**Vision statement:** This is a statement which gives the direction that a business has to achieve in the long run or future i.e. it's a dream that a business wants to achieve in future. Or

**Objectives:** These are specific short-term targets that the business wants to achieve within a short time in the process of attaining a specific goal.

#### **Qualities/features/characteristics/traits of good objectives**

- They are specific.
- They are measurable.
- They are achievable.
- They are realistic.
- They are time bound.

#### **NB: They are SMART**

**Goals:** These are medium and long-term targets that the business strives to achieve within the stated time frame.

#### **Qualities/features of good goals**

- They are specific.
- They are measurable.
- They are achievable.
- They are realistic.
- They are time bound.

#### **4. Production plan.** This is the analysis of the projected needs for producing or manufacturing a product.

##### **Components/elements a Production plan**

1. **Business site/location.** This describes the place where the planned business is to be located and it acts as a reference point.

- **The raw materials.** This talks about the inputs needed to produce a given product.
  - **Labour requirements.** This looks at the required number of workers and the skills needed in the production process. ie. both skilled and semi-skilled labour.
  - **The production process/manufacturing process.** This shows the flow of work from where it starts up to where it ends.
  - **Transport requirements.** This shows how the supplies are to be transported from their source to the business and from the business to the market.
  - **The plant capacity.** This shows the maximum amount of output that a machine is able to produce in a single production cycle.
  - **The quantity of output produced.** This shows the amount of output produced by the factory in a given period of time.
  - **The quality of the raw materials.** This shows the type and quality of raw materials that are need to produce a particular commodity or good.
  - **Waste management/disposal.** This shows how the business is likely to dispose of a waste and manage business operations.
  - **Machinery, tools and equipments.** This gives the type, cost and quality of machines used in production
  - Nature of packaging materials to be used.
  - **Cost estimation.** This shows the total costs it takes to carryout production.
  - **Business assets.** This describes the nature of assets possessed by the business like land.
  - **Utilities required.** This shows the quantities of utilities required inform of water power fuel, and estimated costs.
  - **Inventory management.** This shows how much inventory is to be kept in an enterprise in order to drive production.
5. **Marketing plan:** This refers to an analysis of how the proposed goods or services shall be priced, promoted and distributed to target markets or customers. Or  
It refers to the section or part of a business plan that describes how the proposed goods or services are priced or shall be priced, promoted and distributed to target customers.

#### **Contents/elements of a Marketing plan**

- **Products or services being offered to the customers.** This includes the benefits of products, quality and quantity to be offered to the customers.
- **Target customers/target market.** An entrepreneur is required to establish who the customers are. e.g schools, universities, students etc.
- **Market size.** This is required so as to establish the growth and the expected market share that the business wants to capture.
- **The position of the competitors.** An entrepreneur is also required to establish the level of competition, the competitors, their strength and weakness
- **The methods of pricing the products/pricing strategies.** This describes the methods that an entrepreneur uses in the establishment or setting of the prices of goods and services in the market.
- Sales promotion and advertising strategies. This describes the sales promotion and advertising methods to be used in the market. This enables entrepreneurs to win competition and also attract more customers through fair pricing.
- **Distribution strategy.** This describes how the products shall be distributed to the target customers. For example, using sales agents.
- **Projected marketing expenses.** This describes the costs involved in the marketing of the business products. For transport, market research fee and advertising expenses.
- **Projected sales.** This shows the expected sales of the business in a given period of time.

- **Sales personnel recruitment plan.** This describes the nature, number and how the business intends to attract salespersons/agents into the business.
6. **Organizational/Human Resource/Administrative/Management plan:** This refers to part of a business plan which outlines the human resources needed in the business, the recruitment, duties and responsibilities in the organization.

#### **Components/elements of preparing an Organizational/Human Resource/Administrative plan**

- **Number of workers to work in the organization.** This involves identifying and determining the number of workers to be employed in an organization.
- **Qualifications and skills of the workers.** This involves determining the type of labour required in terms of experience, skills, age, etc.
- **Worker's salaries and wages.** This shows the amount of money to be paid to each worker for a given period of time.
- **Duties and responsibilities of the workers.** This outlines the key tasks to be performed by each worker in the organization starting from the top to the bottom.
- **The recruitment of the workers.** This looks at the process of identifying suitable workers to be hired or employed in the organization.
- **Expected fringe benefits to workers.** These are non-monetary rewards given to the workers, a part from salaries e.g accommodation, transport, meals, medical care etc.
- **Organizational structure.** This involves coming up with the hierarchy or reporting line in the organization i.e. involves coming up with various departments in the organization and their composition.
- **Administrative expenses.** This section lists the main administrative expenses which are to be spent in the organization like transport, stationary, telephone expenses etc.

7. **Financial plan:** It is the analysis of the financial requirements of the proposed business. Or This is a section of a business plan that shows the financial or monetary requirements of the proposed business.

#### **Components/elements of preparing a Financial plan**

- **Sources of capital.** Entrepreneurs should establish the various sources of business plans/capital like donations, grants etc.
  - **Fixed capital requirements.** This looks at the fixed assets of the business like; land, buildings, furniture etc.
  - **Projected balance sheet.** An entrepreneur prepares a balance sheet to determine the assets and liabilities of the business i.e. the financial position of the business.
  - **Projected income statement.** This is also prepared to determine the profitability of the business i.e. the net profit, sales, cost of sales, gross profit or gross loss
  - **Projected cash flow statement.** This is a section of a financial plan that shows the projected cash inflows and the projected cash out flows of the business in a given period.
  - **Working capital requirements.** This section of a financial plan enables an entrepreneur to establish the working capital which is needed for the today running of business.
  - **Taxes on incomes.** This section also enables an entrepreneur to establish the amount of taxes to be paid and various forms of taxes to be paid by the business on the profit made.
  - **Overhead costs/total costs.** This section enables an entrepreneur to establish the total cost needed in the production process.
  - **Break even analysis.** This is a point where the firm neither makes profits nor loses i.e. it implies that the total cost is equal to the total revenue.
  - **Sensitivity analysis.** This one determines how much effect different factors can have on the outcome of the project.
8. **Action/Implementation:** This refers to a timetable for implementing planned business activities in their logical order. Or

It is a section of a business plan that shows the timetable for implementing the various business activities within a specific period of time.

## **CHAPTER: BUSINESS ETHICS**

**Ethics** are a set of moral principles which are recognized in respect to a particular class of human actions or particular group.

**Business Ethics:** These are values/virtues that business people apply when making business decisions. Or These are standards expected within the business world.

### **Principles of good business ethics**

- **Honesty.** An entrepreneur should not say things that are false and should never deliberately mislead others.
- **Keeping promises.** Entrepreneurs should keep their commitments and should not make promises that they cannot keep.
- **Fairness.** Entrepreneurs should create and follow a process to achieve outcomes that are fair to all parties involved.
- **Compassion.** This involves acting in a way that does not hurt others and maintaining awareness of the needs of others.
- **Respect for others.** Entrepreneurs should value and honour the abilities and contributions of others by embracing the responsibilities and accountability for their actions.
- **Integrity.** This requires an entrepreneur to live up to their ethical standards even when faced with problems.

### **Business ethics towards customers**

- Providing customers with required after sales services.
- Being courteous like being polite, patients and kind when dealing with customers.
- Understanding customer's needs.
- Being responsible business contracts.
- Providing right information about the product.
- Fair pricing of products.
- Providing right quantity of the products.
- Providing right quality of the products.
- Providing a variety of products.
- Responding to customers' complaints.
- Geniality, ie balancing temper when dealing with customers, being kind.

### **Business ethics towards workers/employees**

- Giving workers a fair pay.
- Providing good working conditions to workers.
- Being polite to workers.
- Providing fair terms of employment.
- Providing workers with fringe benefits like accommodation transport and meals etc.
- Respecting the workers.
- Listening to the workers' problems.
- Providing proper recognition/appreciation to workers. For example, praising them, giving them gifts and certificates of appreciation.
- Creating room for creativity.
- Training of workers so as to improve on their skills.
- Involving workers in decision making as a way of motivating them to perform better.
- Ensuring job security like giving workers appointment letters.

### **Business ethics towards the society/community**

- Conserving the environment.

- Avoiding pollution of the environment.
- Providing employment opportunities.
- Observing the values of the society like religion.
- Sharing society's needs.
- Providing social services like roads.
- Constantly providing the commodity or service to the community.
- Participating in community activities or events like during emergencies.

#### **Business ethics towards the government**

- Complying with occupational hygiene, environmental regulations etc
- Paying taxes.
- Meeting production standards in terms of quality and weight as described by UNBS.
- Complying with business laws eg licenses.

#### **Business ethics towards suppliers**

- Paying them promptly.
- Offering them a fair price.
- Attending to their complaints.
- Respecting the terms and conditions of the transactions.

#### **Business ethics towards competitors**

- Ensuring fair trading.
- Having anti-competitive policies like price reductions.
- Merging where possible.
- Giving referrals in favour of competitors.

#### **Importance/benefits/advantages of practicing business ethics**

- Helps to expand the market for the business products. This is achieved through maintain its customers and attracting the new ones hence increasing the business turnover and profits.
- Helps to increase on business sales. This is because good business ethics attract more customers leading to an increase in sales of the business.
- Helps businesses make profits. This is because good business ethics lead to increase in sales of the business thus increase in profits.
- Enables the business to win government support. Businesses that practice good ethics can get some incentives from the government.
- Enables entrepreneurs to engage in fair trading practices such as fair pricing of products and fair treatment of workers.
- Helps businessmen to meet obligations of their customers and other partners. This is through respecting business ethics.
- Enable entrepreneurs to be trustworthy and recognize the customer as the king. Usually customers want to do business with companies they trust.
- Enable the business to achieve its objectives without interferences.
- Helps the business to build a good image or reputation as the business continues its operations and good conduct towards the customers.
- It enables the business to obtain labour force. This is because society is willing to provide labour force to the business hence leading to efficiency and increased production.
- It enables the business to operate legally. The entrepreneur carries out his activities without any fear of being prosecuted, punished, and fined or the business being closed by the government.
- It leads to societal recognition. This makes the business assets and products to be guarded by the society or government.

- It enables the business to easily access the business inputs or raw materials. By practicing business ethics to suppliers, the entrepreneur is able to easily obtain raw materials and other production inputs from the society.
- It brings about customer's loyalty. This is because it enables the business to meet the people's needs as its obligations hence cementing the loyalties in the business and business partners.

#### **Customer care, customer attraction and customer retention**

**Customer care** is the process by which a business delivers its goods or services in a way that allows the customers to access them in the most satisfying and pleasant manner.

**Customer attraction** refers to the pulling of customers to buy business products and services by convincing them.

**Customer retention** refers to the ability of the business to make customers to repeatedly buy business products without switching to the competitors.

#### **Reasons for promoting good customer care**

- To improve on the image of the business.
- To build customer loyalty towards the business and its products.
- To avoid wasteful advertisement.
- To attract new customers to the business.
- To maintain old customers of the business.
- To improve on the employee-employer relationship.
- To ensure customer satisfaction.
- To save time when dealing with customers.
- To improve on the relationship of the business and its customers.
- To improve on the interpersonal relationship within the organization.
- To increase on business sales thus profits.
- To enable the business to gain a competitive advantage thus overcome competition.
- To promote employee job satisfaction.
- To get feedback about customers' feelings and opinions about business products.

#### **Ways of showing/ensuring good customer care in the business**

- Charging fair prices to customers.
- Being honest to customers. eg giving them right quantities and quality.
- Handling customers, complaints tactfully.
- Being pleasant to the customers.
- Having sound knowledge about the business products.
- Offering after sales service like delivery services.
- Giving discounts to customers who buy in large quantities or pay promptly.
- Welcoming customers' suggestions, opinions, and criticisms through dialogue.
- Being available at the business premises to assist customers.
- Being tactful when handling difficult situations/customers.
- Providing waiting benches to customers.
- Showing good hospitality to the customers.

### **CHAPTER: TAXATION**

**Taxation:** It refers to a system by which the government gets money from people and spends it on public goods and services. Or

It refers to the process by which the government generates revenue from its citizens or nationals by means of paying taxes. Or

It refers to the process of imposing different taxes on businesses or individuals by the government in order to raise revenue.

**A tax** refers to a compulsory payment made by the individuals or public or citizens towards the government as the main source of revenue. Or

**A tax** refers to a non-quid pro-quo compulsory payment made to the government as a charge for the cost of administering certain services to the public.

### **Terms used in taxation**

1. **Tax base:** This refers to any item or economic activity on which taxes are imposed.
2. **Tax threshold:** This refers to the minimum amount of money or income from which a tax liability begins.  
Or  
It refers to the amount above which an individual begins paying taxes
3. **Tax liability:** This refers to a percentage or a fraction of an individual's income that is paid as tax. Or  
It is the amount of money paid as tax
4. **Incidence of a tax (Tax incidence):** This refers to the final resting position of a tax. Or  
It refers to a person or firm that actually pays the tax imposed.
5. **Impact of a tax:** This is the first or initial resting position of a tax.
6. **Tax burden:** This refers to the effect of a tax on a taxpayer i.e. how he/she feels after paying tax.
7. **Taxable income:** This refers to the portion of an individual's or country's income that is subjected to taxation after all allowances have been deducted or subtracted.
8. **Taxable capacity:** This refers to the extent to which the taxpayer pays the taxes charged on assessed to him/her and remain living in the life accustomed (used).
9. **Tax exemption/Tax relief:** This is the allowance given to a person or business by the tax authority from paying taxes.
10. **Tax holiday:** This is a period given to the taxpayer without paying taxes by the tax authority. Or  
This is when a taxpayer is given some grace period before starting to pay taxes.
11. **Tax yield:** This refers to the total amount of tax revenue collected from different taxes or sources.
12. **Tax invoice:** This is a document that shows written information on how much a taxpayer is supposed to pay or is being demanded.
13. **Tax rebate:** This refers to the tax refunded to the taxpayer.
14. **Tax evasion:** This refers to the total refusal or deliberate refusal by a taxpayer to pay the tax charged on him/her.
15. **Tax avoidance:** This refers to where the taxpayer discovers the loop holes/weaknesses in the tax system and dodges or pays less tax.
16. **Tax transformation:** This refers to the substituting of production of a taxed good by a non-taxed good.
17. **Tax reserve:** This refers to the amount of money set aside by the company for paying taxes
18. **Tax identification number (TIN):** This is a unique number that is assigned to the taxpayers by the tax authority so as to easily identify specific taxpayers
19. **Marginal rate of a tax (MRT):** This refers to the proportion/friction of the additional income that is paid as tax.
20. **Average rate of a tax (ART):** This refers to the proportion of one's income that is paid as tax..
21. **Capitalization of a tax:** This is where the business converts part of its profits earned in a given period to capital shares (share capital) there by increasing the value of capital so as to pay less tax on profits.

### **Principles/canons/elements of a good tax system (taxation)**

- **Simplicity:** A good tax system should be simple for the taxpayers and tax collectors to understand in terms of how much to pay and where to pay.
- **Certainty:** A good tax system is one where the taxpayers know in advance how much tax to be paid and when to pay it.
- **Convenience:** A good tax system should be convenient to the taxpayer in terms of time and place where to pay taxes.

- **Flexibility/elasticity:** A good tax system should be able to change with the changes in the economic conditions of the country i.e. should be able to change or adjust with the financial needs of the government.
- **Efficiency/cheapness/economy:** A good tax system should be cheap in terms of tax collection by the tax administrators in order to raise more revenue i.e. the cost of collection should not exceed the revenue collected.
- **Comprehensiveness:** A good tax system should cover a wide range or variety of economic activities to enable the government raise more revenue.
- **Productivity:** The tax authority should be able to predict the accurate revenue for a particular tax and rate of inflow. It should also be in position to yield revenue which is high i.e. should be able to produce more revenue.
- **Equity/fairness/proportionality:** A good tax system should have an equal tax burden to the taxpayers in that high income earners should feel higher burdens as the low income earners feel low burdens.
- **Consistence:** A good tax system should be in line with the national economic objectives i.e. it should remain unchanged for some time to allow proper planning.
- **Ability of pay:** This principle states that the taxpayers should have ability and willingness to pay the taxes imposed on him/her and remains with enough money to live in the life he/she is accustomed to.
- **Neutrality/impartiality:** A good tax system should not discriminate among taxpayers in terms of paying and getting of services.
- **Double taxation:** This principle states that taxpayers should not be taxed more than once on the same property or income.
- **Political acceptability:** Taxes should be politically acceptable by taxpayers to avoid crossing or misunderstandings with the government.

#### **Qualities/features/traits/characteristics of a good tax system (taxation)**

- It should be simple to understand.
- It should be certain.
- It should be convenient.
- It should be flexible/elastic.
- It should be cheap/economical/efficient.
- It should be productive.
- It should be comprehensive.
- It should be neutral/impartial.
- It should be politically accepted.
- It should be consistent.
- It should promote ability to pay.
- It should avoid double taxation.

#### **Reasons/rationale/objectives of taxation in a country**

- To create employment opportunities for the citizens like tax collectors and tax assessors.
- To control monopoly powers in the country. This is done through charging high taxes on monopolists so as to reduce their profit margins thus discourage monopoly in the country.
- To control inflation. High direct taxes reduce people's disposable income which in turn reduces their demand for final goods and services thus eliminating inflation.
- To minimize or reduce on the consumption of harmful or undesirable goods like alcohol, spirits, addictive drugs etc. This is because taxes increase on their final prices making them expensive thus discouraging people from buying them.
- To protect domestic infant industries against unfair foreign competition from imports. This is done through imposing high duties on imported goods to make them expensive thus discourage their consumption.
- To improve on the country's balance of payment position. This is done through discouraging imports by charging them high duties and encouraging exportation through charging them a lower tax or duty.

- To discourage dumping of cheap and substandard goods into the country. This is done by imposing high taxes on imported and exported goods.
- To promote forced savings. This is done through compulsory savings schemes like National Social Security Fund (NSSF).
- To promote or encourage hard work. This is because taxation encourages people to work hard in order to cope up with the living standards or cost of living in the country.
- To promote economic growth. This is done through imposing low taxes on both foreign & domestic investments thus reducing the cost of production and increasing the amount of goods produced.
- To make citizens responsible for the country's property.
- To protect scarce resources like minerals, forests etc from being over exploited by profit-oriented enterprises or entrepreneurs.
- To reduce on income inequality among citizens through progressive taxation.

#### **Role of taxation in the development of the country/Uganda**

- Generating government revenue through imposing different taxes.
- Controlling inflation in the country.
- Controlling monopoly powers in the country through taxing monopolists highly.
- Preventing dumping of cheap and substandard goods into the country through charging high taxes on imports and exports.
- Preventing/reducing the consumption, importation and production of harmful products in the country like addictive drugs, alcohol etc
- Protecting domestic infant industries against unfair foreign competition from imported goods.
- Improving on the country's balance of payment position.
- Creating employment opportunities for the citizens like tax collectors and tax assessors.
- Reducing on income inequalities among citizens in the country through progressive taxation.
- Promoting forced savings among citizens in the country.
- Promoting hard work among citizens in the country
- Making citizens responsible for their country's property.
- Influencing the level of economic growth in the country by regulating production.

#### **Advantages/merits/benefits of taxation in the country**

- Generates government revenue through imposing different taxes.
- Controls inflation in the country.
- Controls monopoly powers in the country through taxing monopolists highly.
- Prevents dumping of cheap and substandard goods into the country through charging high taxes on imports and exports.
- Prevents/reduces the consumption, importation and production of harmful products in the country like addictive drugs, alcohol etc
- Protects the domestic infant industries against unfair foreign competition from imported goods.
- Improves on the country's balance of payment position.
- Creates employment opportunities for the citizens like tax collectors and tax assessors.
- Reduces on income inequalities among citizens in the country through progressive taxation.
- Promotes forced savings among citizens in the country.
- Promotes hard work among citizens in the country
- Makes citizens responsible for their country's property.
- Influences the level of economic growth in the country by regulating production.

#### **Disadvantages/demerits of taxation in the country**

- Leads to inflation in the country especially indirect taxes like Value Added Tax (VAT).

- Discourages savings in the country. This is because of reduced people's incomes as a result of high taxes.
- Discourages investment in the country. This is because of reduced savings as a result of high taxes.
- Reduces on people's welfare due to reduced consumption as a result of reduced disposable income as a result of high taxes.
- Makes the government in power unpopular.
- Discourages people's efforts to work hard especially progressive taxes.
- Results into illegal activities like smuggling and black marketing.
- Reduces the volume of trade as it discourages importation and exportation thus reducing the benefits of trade.
- Widens the income inequality gap especially regressive taxation.

### **Classification of taxes**

#### **1. According to the incidence of tax (According to the final resting position of a tax)**

**(a) Direct taxes:** These are taxes that are charged on incomes and properties of individuals or companies. The incidence of a tax cannot be shifted to another person.

#### **Types/forms/examples of direct taxes**

- **Personal income tax.** This is a tax charged on an individual's income. e.g salary or wage.
- **Property or wealth tax.** This is a tax charged on an individual's wealth or property.
- **Death duty tax/estate duty.** This is a tax charged on the property of the deceased before being distributed to the heir.
- **Inheritance tax:** This is a tax charged on an individual who takes over the property of the deceased
- **Gift tax:** This is a tax charged on gifts among the living. Or  
It is a tax charged on those who donate property to others as a way of discouraging them from disposing off their property before death.
- **Capital gains tax:** This is a tax charged on the profits made on the sale or disposal of a business/capital asset whose value had appreciated between purchase and sale.
- **Corporation tax/company tax:** This is a tax charged on the profits of the company.
- **Withholding tax:** This is a tax deducted at the source by a withholding agent upon making payments to another person.
- **Surtax:** This is a tax charged on individuals with high incomes.
- **Capital levy tax:** This is a tax charged on individuals with a lot of wealth as a temporal measure for the government to raise revenue during shortage.
- **Surcharge tax:** This is a tax charged on those individuals who fail to meet or to pay taxes in time i.e. paying after the deadline.
- **Land tax:** This is a tax charged on the landowners i.e. it is paid by landlords.
- **Road tolls:** This is a tax charged on those who use the road services.
- **Sales tax/Agricultural revenue tax:** This is a tax charged on the revenue got from the sale of agricultural products.

#### **Features/characteristics of direct taxes**

- They are collected directly by the government.
- They are paid by individual income earners. e.g PAYE.
- They are progressive in nature i.e. the tax burden increases with an increase in one's income e.g PAYE.
- They are paid by enterprises or companies. e.g corporation tax.
- The incidence of a tax cannot be shifted.
- They have a high cost of collection.
- They are unavoidable because they are charged on an individual's income.

#### **Advantages/merits of direct taxes**

- They are clear and simple to understand. Direct taxes are easy to calculate and easy to understand by a taxpayer.
- They are certain. The taxpayer is certain of the amount, time and the mode of payment
- They are elastic and flexible. Government can easily reduce or increase on the rate especially on companies depending on their disposal income which is used for reducing information pressure on the government.
- They are used to reduce inflation in the country. This is because increase in taxes on an individual's income reduces his/her disposable income thus reducing the amount of goods consumed hence controlling inflation in the country.
- They are hard to evade or avoid. This is because they are charged on individual's incomes.
- They reduce income inequality: This is because they are progressive in nature.
- Their impact and incidence are determined.
- They are equitable because they fall on those who earn more.
- They are an assured source of government revenue.
- Their collection is economical or low. e.g PAYE.
- They are selectively used to favour certain groups that are of times disadvantaged like the disabled who can be exempted from paying taxes.

#### **Demerits/disadvantages of direct taxes**

- They are inflationary. This is mainly because of taxes imposed on worker's wages and salaries forcing workers to demand for wage increase because of increased cost of living thus forcing producers to also increase on the final prices of goods or services thus inflation.
- They are expensive to collect and at times harsh methods are used thus causing resentment.
- They are unfair. This is because of the use of local chiefs as tax assessors and collectors who are friendly to the rich and impose higher taxes on those who are not friendly to them.
- They increase tax evasion. This is because a direct burden on taxpayer encourages them to try to evade taxes with dishonesty when filling tax returns.
- They discourage hard work. This is because of the progressive nature which discourages people from working hard because of less benefit from their efforts.
- They are not neutral. This are not imposed on all people in the country.
- They make the government in power unpopular. Direct taxes impose the burden directly on taxpayers forcing them to resist or lose confidence in the government in power.
- They discourage production. This is because high co-operate taxes charged on the company's profits reducing on the profits made thus discouraging them from carrying out production.
- Direct taxes discourage savings and investment. This is because of the progressive nature of the direct taxes making people reluctant to save and invest.
- They are paid in lumpsumly. This is to say they have great negative effects on people's incomes.
- They are difficult to determine. This is because the taxable capacity of an individual varies from person to person and time to time.
- They are difficult to review in the short run so as to raise more revenue.
- They cause a heavy burden on the taxpayers because they are directly paid.

**(b) Indirect Taxes:** These are taxes which are charged on the consumption of goods and services. Or

These are taxes imposed on goods and services. The burden or incidence of a tax can be shifted to another person.

#### **Types/examples of indirect taxes**

- **Value Added Tax (VAT):** This is the tax charged on the value added to taxable goods and services at different stages in the chain of distribution. Or  
It is a tax on the expenditure on consumption of goods and services.

- **Excise duty:** This is a tax imposed on goods services that are locally produced and consumed within the country.
- **Export duty:** This is a tax imposed on goods leaving the country.
- **Import duty.** This is a tax imposed on goods entering into the country.
- **Customs duty:** This is a tax imposed on the import or export of commodities.
- **Specific tax:** This is a tax imposed on every unit of output produced or sold.
- **Sales tax:** It is a tax imposed on the total sales of the business regardless of the state of production and distribution i.e. wholesaler and retailer.
- **Octoroi/octroi tax:** This is a tax imposed on commodities in transit from one country to another through the territory or boundary of another country. e.g goods from Uganda to Rwanda through Kenya.
- **Sumptuary tax:** This is a tax imposed on a given commodity so as to discourage its consumption. Or It is a tax charged on goods which are considered to be harmful to the society as a way of discouraging their consumption. e.g alcohol, cigarettes etc.
- **Advalorem tax/purchase tax:** This is a tax imposed on a commodity according to the value of the commodities purchased. Or  
It is a tax imposed on the commodity, according to the value of its price.  
It is also referred to as purchase tax.
- **Lumpsum tax:** This is a tax imposed on the total output produced.

#### **Features/characteristics of indirect taxes**

- They are imposed on goods and services thus they are part of the final price of goods and services.
- The incidence of a tax can be shifted to the consumer.
- They are paid unknowingly and willingly as they are part of the price.
- They can be avoided by avoiding the consumption of tax commodities.
- They are regressive in nature.
- They are collected by agents or producers on behalf of the government.
- They have a wider tax base hence they generate more government revenue.

#### **Advantages/merits of indirect taxes (Reasons for the popularity of indirect taxes in Uganda)**

- They are paid willingly. This is because indirect taxes are only paid on the consumption of goods and services.
- They are convenient for the tax collectors. This is because they are paid when purchasing.
- They are comprehensive. They provide a wide tax base for raising government revenue.
- They are economical in terms of collection. They are cheap to collect as compared to direct taxes.
- They are difficult to evade. This is because they are usually part of the price of commodities or services.
- They are flexible or elastic i.e. the rates can easily be increased or reduced depending on the economic needs of a country.
- They do not cause a lot of resentment or unpopularity of the government in power.
- They are used to check on the consumption of harmful commodities in a country. This is because such commodities in the market are taxed highly to make them expensive and discouraging their consumption.
- They are used to protect domestic infant industries against foreign competition from imports. This is through charging high taxes on import in the country.
- They are multipurpose. They can be used to allocate resources to priority sectors than non-priority sectors.
- They promote hard work. This is because they are charged on final goods not on an individual's income.
- They are used to control inflation. e.g the country may reduce taxes on basic raw materials thus reducing on the cost of production leading to a fall in general price level.
- They can easily be accepted politically which makes the government popular.

#### **Disadvantages/merits of indirect taxes**

- They hurt more the poor since they are regressive in nature.

- They are inflationary in nature. This is because they generally increase the costs of production leading to high prices for final goods and services.
- They discourage production and reduce on the demand.
- They are not easy to understand especially in terms of computation.
- They reduce on the level of investment and capital accumulation as they increase the cost of production leading to high expenditures by the people thus reducing their savings.
- They increase people's expenditures thus reducing their savings.
- They discourage free trade because of import and export duties.
- They create monopoly tendencies in the country especially by the infant industries due to lack of competition.
- They result into trade malpractice. e.g smuggling and black marketing especially where there are high taxes.
- They lead to the consumption of harmful or low quality goods due to high import duties.
- They lead to misallocation of resources since producers can transfer their resources from one sector which is highly taxed to another which is less taxed.

## 2. Classification of taxes according to the tax rate

- **Proportional tax:** This is one whose rate is constant regardless of the level of income e.g. corporation tax which is currently 30%.
- **Progressive tax:** This is one whose tax rate increases as the income level increases.  
The burden of tax is heavier on higher income earners and lower on low income earners. Progressive taxes reduce the tax incidence of people with lower income as they disproportionately shift the burden to those with higher income.
- **Regressive tax:** This one whose tax rate reduces/decreases as the income level increases. The burden is proportionally greatest on lower earner.

## 3. Classification according to boundary

**(a) Domestic taxes:** These are taxes generated within the geographical boundaries of the country. They include;

- Corporation Tax
- Individual Income Tax
- Rental Income Tax
- Excise Duty
- Withholding Tax (WHT)
- Presumptive Tax
- Capital Gains Tax (CGT)
- Value Added Tax (VAT)

**(b) International taxes:** These are taxes levied/imposed on imports and exports. They include;

- Import Duty
- Export Duty
- Customs Duty
- Value Added Tax (VAT)
- Withholding Tax (WHT)
- Environmental Levy Tax
- Infrastructural Levy Tax

## 4. Classification according to Authority of Administration

**(a) Taxes and duties collected Uganda Revenue Authority (URA) or central government of Uganda**

- **Income tax:** This is a tax charged on profits or incomes earned by an individual or business entity. It takes two forms;
  - (i) **Individual income tax:** This is a tax charged on the income of individuals. eg PAYE
  - (ii) **Corporation tax:** This a tax charged on the company's profits.

- **Value Added Tax (VAT):** This is the tax charged on the value added at every stage of production. Or It is a tax on the expenditure on consumption of goods and services.
- **Excise duty:** This is a tax imposed on goods services that are locally produced and consumed within the country.
- **Export duty:** This is a tax imposed on goods leaving the country.
- **Import duty:** This is a tax imposed on goods entering into the country.
- **Customs duty:** This is a tax imposed on the import or export of commodities.
- **Gaming and pool betting tax:** This a tax charged on gaming and sports betting activities. It is collected on gaming, pool betting, betting materials and other related items.
- **Environmental levy tax:** This is a tax imposed on used imported motor vehicles, motorcycles, bicycles, motor vehicle spare parts and other items per year's budget.
- **Infrastructural levy tax:** This is a tax imposed on imported goods outside the East African region. It is intended to mobilize funds for maintenance of regional infrastructure. For example, roads.

#### **Non-tax revenue**

This revenue generated by the government from other sources other than tax. They include;

- **Fines and penalties:** This is revenue from somebody who has broken the law. For example; traffic offences, court fines, etc.
- **Passport fee:** This is revenue received from individuals who apply for passports.
- **Permit fee:** This is a fee imposed to allow an individual/entity/company transact a business. For example; driving permit, trading permit, animal transit permit, work permit, etc.
- **Registration fee:** This is a fee imposed to enable an individual/entity/company to have a legal right to exist and legally carry out an activity.
- Road toll fee
- Visa fees
- Issue of bonds
- Dividends and profits state owned companies,
- Privatization

#### **(b) Taxes and duties collected by the local government**

Local government authorities are responsible for the assessment and collection of local government revenue. They include districts, town council, city councils and municipalities. These local authorities are responsible for administration of revenue and such revenue is utilized to provide services within that locality. These taxes include;

- **Property tax:** This is a tax charged on the income earned by an individual from the use of his/her property.
- **Local hotel tax:** This is a tax charged on hotels and it's paid monthly by the hotel owner to the local authorities. The tax rate varies from place to place depending on where the hotel is located. The hotel owner then imposes the tax on the clients per room per night.
- **Local service tax:** This is a tax charged on wealth and incomes of persons in gainful employment, self-employed and practicing professionals, self-employed artisans, businessmen/women and commercial farmers.
- **Trading Licence Fee:** This is a fee paid to allow a person carry out a specified business in a given area for a period of time usually one year.
- **Plan Fees:** This is charged for approval of a construction plan especially in urban areas.
- **Permit Fees:** This is a fee imposed to allow an individual/entity/company transact a business. For example; driving permit, trading permit, animal transit permit, work permit, etc.
- **Registration Fee:** This is a fee imposed to enable an individual/entity/company to have a legal right to exist and legally carry out an activity.
- **Land Fees:** This is a fee payable for land transaction.

- **Parking Fees:** This is a fee payable for use of parking space in urban areas.
- **Rent from district markets:** This is rental income payable by tenants who operate from district markets.
- **Market Dues:** These are charges to allow an individual to trade in the market.
- **Advertisement/billboard fees:** This is a charge to allow a user put up an advert like sign posts.

### **The concept of tax evasion and tax avoidance**

**Tax evasion:** This refers to the total or deliberate refusal by a taxpayer to pay the tax charged on him/her.

**Tax avoidance:** This refers to where the taxpayer discovers the loop holes/weaknesses in the tax system and dodges or pays less tax.

### **Examples/forms of tax evasion in Uganda**

- Bribing the tax collectors.
- Hiding away from tax collectors or assessors or closing the business premises when the tax administrators visit to assess the tax.
- Under declaration of income or revenue earned in a given financial year so as to pay less tax than required.
- Refusal to declare property or rental income.
- Giving wrong values of goods and services imported or exported by the business.
- Smuggling of taxable goods. These are goods are brought into the country without paying taxes
- Capitalization of a tax. This is where the business converts part of its profits earned in a given period to share capital there by increasing the value of its capital so as to pay less tax on profits.
- Failure to report income and declaring sources of income.
- Providing false information to the tax authority about business income or expenses.
- Deliberately underpaying taxes owed.
- Understating taxes to be paid by taxpayers.
- Failure to withhold tax and remit it to URA account.
- Paying employees in cash and failing to report some or all of these cash payments.
- Filing false payroll tax reports.
- Double recording of transactions with the intention of evading taxes.

### **Reasons why people evade/avoid paying taxes (Causes of high tax evasion/avoidance in Uganda)**

- Low levels of income or high levels of poverty among people.
- Inadequate information about taxes or taxation.
- Low levels of education among citizens about the benefits of paying taxes.
- Political sabotage. This is where tax payers are influenced by the opposition politicians not to pay taxes.
- Loop holes/weakness in the tax system. This enables some people to easily dodge or evade paying taxes.
- People's desire to retain their earnings or revenue, this makes them to evade paying taxes.
- Inappropriate methods of tax collection like using force during tax collection or assessment. This forces taxpayers to run away from tax collectors or assessors.
- High taxes charged.
- Corruption among tax officials.
- Unfair tax assessment. This is where taxpayers in the same bracket are taxed differently i.e. others are over faxed and others are under faxed i.e. high taxes charged.
- Lack of benefits of the tax system to the taxpayers.
- Existence of complicated tax laws.

### **Measures the government can undertake to reduce tax avoidance/evasion in Uganda**

- Educating the public on the importance/benefits of paying taxes.
- Emphasizing the use of indirect taxes that cannot be avoided by the people.
- Carrying out tax reforms so as to close the loop holes/weaknesses used by the taxpayers to avoid paying taxes

- Ensuring that taxes are comprehensive i.e. covering may activities in order to avoid tax avoidance
- Recruitment of skilled man power so as to carryout assessment and collection and also train them on how the eliminate tax avoidance.
- Minimizing on corruption through ensuring proper accountability and arresting of corrupt officials.
- Developing of infrastructures like the roads to facilitate the collection of tax revenue in deferent parts of the country.
- Rewarding individuals who are compliant by giving them gifts like certificates thus encouraging them to pay taxes.
- Ensuring equity in the tax system thus encourage people to pay taxes.
- Ensuring simplicity of the tax laws to enable the citizens to understand.

#### **Effects/consequences of tax evasion**

- Leads to temporary or permanent closure of the business.
- Leads to imprisonment of the tax evader.
- The business may meet or pay some penalties or fines for non-tax payment.
- Leads to loss of smuggled goods that are confiscated.
- Leads to loss of the good image of the business.
- Leads to loss of government support where tax compliance is a condition.
- Leads to forceful payment of unpaid taxes from the entrepreneur's personal resources or business profits.

#### **Tax Compliance**

This refers to the extent/degree to which the taxpayers can meet their tax obligations without breaking any section of the income tax act. Or

This is the degree to which the taxpayer conforms to the tax rules of the country. Or

It refers to the taxpayers' decision to meet legal obligations imposed by the tax system by paying taxes timely and accurately.

#### **Elements of tax compliance**

- **Registration.** This should be done in time and accurate information should be provided by the qualifying taxpayers. This enables URA to issue Tax Identification Numbers (TIN) which help to uniquely identify taxpayers.
- **Filing tax returns.** This involves the filling of accurate and correct information about the business on the prescribed form for the respective period by a taxpayer and submitting it to URA for purposes of determining the tax payable.
- **Declaration.** Accurate and correct information should be provided on transaction (import of goods and services) or a prescribed form (customs entry) and submitted to URA for further processing.
- **Payment of taxes.** Correct amount of tax due should be paid in time.
- **Record keeping.** All taxpayers are required by law to keep proper records about their business transactions for tax purposes. All records relating to income and expenditure of the business should be properly kept.

#### **Levels of tax compliance**

- Taxpayers who are fully compliant and willing to fulfill their tax obligations voluntarily.
- Taxpayers who reluctantly comply. These are taxpayers who know that non-compliance will be expensive and accordingly comply.
- Taxpayers who show some slight resistance to compliance. This more often arises from lack of knowledge and when such taxpayers are advised and some pressure is exerted on them, they will comply.
- Taxpayers who are non-compliant and show resistance to meeting their tax obligation.

#### **Factors that affect/influence/determine the level of tax compliance**

- **Tax rate.** High tax rates discourage tax compliance because they make it expensive and difficult for taxpayers to pay taxes while low tax rates encourage tax compliance because they make it cheap and easy for taxpayers to pay taxes.
- **Simplicity of the tax system.** Complicated tax laws and long administrative issues makes compliance costs high leading to low tax compliance while simple tax laws lead to high tax compliance.
- **The extent which taxes are equitable.** Equitable taxes lead to high tax compliance among taxpayers while inequitable taxes lead to low tax compliance among taxpayers.
- **Quality of tax administration.** Professional or highly skilled tax administrators promote tax compliance while unqualified/unprofessional tax administrators lead to low tax compliance.
- **The popularity of the government in power and the quality of governance.** If the government in power is popular and not corrupt, tax compliance is high while where the government in power is unpopular and corrupt, tax compliance is low.
- **The level of income.** High levels of income among taxpayers lead to high tax compliance while low levels of incomes among taxpayers lead to low tax compliance.
- **The quality of businesses management.** High quality business management characterized with keeping business records leads to high tax compliance than unethical business persons who do not maintain records of their business.
- **Availability of funds.** Firms with financial problems tend to have low tax compliance than businesses with adequate funds.
- **Level of education of taxpayers.** Educated taxpayers have high tax compliance because they are informed about the benefits of taxation while the uneducated taxpayers have low tax compliance because they are not informed about the benefits of taxation.

#### **Factors that limit tax compliance (Causes of low tax compliance in Uganda)**

- High tax rates which discourages taxpayers from paying taxes.
- Limited information about the importance of taxation discouraging taxpayers from paying taxes.
- Low levels of incomes among taxpayers. High rates of poverty in Uganda limits of amount of income earned leading to low tax compliance.
- Political instability in some parts of the country which hinders investment leading to low incomes hence low tax compliance.
- Poor methods of handling defaulters which discourages other taxpayers.
- High rates of inflation leading to low profits made by the businesses due to high cost of production thus limiting tax compliance.
- Long procedures for paying taxes discouraging taxpayers from paying taxes.
- Poor service delivery by the government leading to loss of confidence among taxpayers leading to low tax compliance.
- Unpopularity of the government in power, poor governance, high levels of corruption and lack of accountability make the government in power leading to low tax compliance.
- Complicated tax laws and tax regulatory frame work also discourages taxpayers.
- Poor infrastructures inform of poor road networks limits transport for taxpayers and collectors leading to low tax compliance.
- Uneven distribution of a tax burden among taxpayers discourages some taxpayers because some pay more than the others.
- Poor record keeping leading to poor business management thus limiting information for taxation leading to low tax compliance.

#### **Ways/measures for encouraging tax compliance in an economy**

- Shortening the tax payment procedures to encourage people to pay taxes.

- Fighting and reducing the level of corruption among tax official. e.g arresting and imprisoning the corrupt officials.
- Sensitizing the public about the importance of paying taxes and where taxes are collected.
- Improvement on infrastructures like computerizing the tax system.
- Ensuring political stability to encourage more economic activities thus generating more tax.
- Imposing penalties on non-compliant taxpayers.
- Publishing the names of tax defaulters in the media or press.
- Rewarding tax compliant taxpayers for example with certificates of recognition.
- Making the tax system equitable whereby the tax burden is equally distributed to taxpayers.
- Improving on the quality of business management in terms of record keeping.
- Maintaining low tax rates that are enough to raise revenue for the government and at the same time enable taxpayers to remain with enough disposable income for their well-being.

### **Forms of non-tax compliance**

- **Smuggling.** This is the importation or exportation of goods secretly contrary to the law without paying the duties imposed.
- **Dumping.** This is an act of diverting transit and export goods to the home market for purposes of not paying taxes.
- **Failure to register for taxation.** This is where the eligible taxpayers fail to register for tax and misclassification of goods. This is an act of wrongly assigning a product to a given class for purposes of attracting lower tax rates.
- **Non-filing returns.** This is the deliberate failure by the registered taxpayer to file returns as required by the law.
- **Under declaration.** This is the deliberate misstatement of transactions for purposes of paying less tax.
- **Under valuation.** This is the self-assignment of lower values by the importer on import transactions aimed at defrauding the government or paying less tax.
- **Falsification of documents.** This is the deliberate alteration of information on prescribed documents for purposes of avoiding taxes.

### **Consequences of non-tax compliance/penalties of non-tax compliance**

- Paying surcharge on all outstanding tax dues.
- Taking over management of the business by the tax authority.
- Closure of business.
- Taking legal/court action leading to imprisonment.
- Auctioning business property to recover tax arrears.
- Publishing the business name in newspapers.
- Denying business to access contracts.
- Black listing the business.

### **Tax Administration**

This is a mechanism of assessment, collection, enforcement and accounting for the tax levied/charged or collected.

### **Uganda Revenue Authority (URA)**

This refers to an autonomous or independent body that is responsible for tax assessment and collection in Uganda.

### **Roles/Functions of URA**

- Assessing of taxes to be paid. URA is entrusted with the duty of determining correct taxes to be paid by taxpayers.
- Collecting of taxes. URA ensures that assessed taxes are paid by the taxpayers by the due date.

- Issuing of tax identification numbers (TIN) to different taxpayers. This helps the authorities to easily identify a specific tax payer.
- Accounting for all the tax revenue collected. URA accounts to the Ministry of Finance, Planning and Economic Development on taxes collected.
- Registering the taxpayers. This helps to find out the number of taxpayers with a view of increasing the tax base of the country.
- Advising the government on taxation matters.
- Sensitizing the public on taxation matters. This is done by educating people on the importance of paying taxes through organizing workshops and seminars.
- Facilitating of trade and investment in the country. This is done by working with the ministry responsible to improve on the trade in the country.
- Providing information related to taxes to the public, this is done through organizing seminars and workshops.
- Providing policy framework to government relating to tax rates and administration.
- Protecting the public against foreign and domestic fraud.
- Providing investment opportunities to both local and foreign entrepreneurs.
- Verifying goods both imports and exports, this helps to avoid evading taxes.
- Recruiting personnel for tax evaluation and implementation of tax policies.
- Developing strategies of increasing tax base for the government, for example finding new tax bases.

#### **Reasons/causes of low tax revenue in Uganda/challenges facing the tax system/tax officials in Uganda**

- High level of tax avoidance. This is where individuals discover the weaknesses in the tax system and dodge paying taxes hence leading to low tax revenue.
- High levels of tax evasion. Many individuals illegally refuse to pay taxes leading to low tax revenue.
- Shortage of skilled manpower to carry out tax assessment and collection leading to low tax revenue generated.
- Narrow tax base. This is due to low investment in the country leading to low tax revenue.
- High rates of corruption and embezzlement of funds by tax administrators thus leading to low tax revenue.
- Low taxable capacity among taxpayers. This is because of high rates of poverty leading to low tax revenue.
- Large subsistence sector. This is where production is for home consumption thus few commercial activities are taxed leading to low tax revenue.
- Large informal sector where the majority do not pay taxes.
- Poorly developed infrastructure. This hindered the easy movement of the tax authority thus leading to low tax revenue.
- High levels of unemployment in the country. A large number of people are not employed therefore they do not earn income from which tax can be charged leading to low tax revenue.
- Political instability in some parts of the country. This hinders tax collection and assessment due to fear of loss of lives and property leading to low revenue.
- Political interference especially by opposition politicians.
- Conflicting government objectives or policies which sometimes conflict with the taxation system. This is where the government wants to generate more revenue through taxation but at the same time giving tax holidays to some individuals leading to low tax revenue in the country.
- Limited levels of diversification of the economy. This is where there are few economic activities like agriculture which are taxed leading to low tax revenue.
- Increased trade malpractices. These are in form of smuggling leading to low tax revenue.
- A small industrial sector that makes the industrial resources also small hence leading to low tax revenue.
- High levels of resistance from the public against tax payment leading to low tax revenue.

### **Measures/solutions to improve the tax system in Uganda**

- **Fighting corruption.** This can be done through arresting and imprisoning corrupt tax officials.
- **Training of more personnel.** This is intended to impart skills in them which are needed in the tax collection and assessment.
- **Sensitizing the masses about the benefits/importance/roles of taxation.**
- **Development of infrastructure like roads** so as to promote the easy movement of tax collectors and assessors and also encouraging investment in the country in order to generate more revenue through taxation.
- **Development of a taxpayer friendly system of taxation** so as to encourage people to pay taxes.
- **Diversification of the economy** so as to widen tax base hence generating more revenue.
- **Creating political stability all over the country.** This enables tax collectors and assessors to access all taxpayers in the country and also encourages investment leading to more tax revenue generated.
- **Ensuring effective and proper use of funds generated from taxation.** This creates confidence in taxpayers thus encourage them to pay taxes leading to more revenue.
- **Ensuring the principle of equity or fairness among taxpayers** thus encouraging people to pay taxes.
- **Improving and implementing tax laws** that are hard for individuals to avoid and evade, this helps to minimize on tax evasion and tax avoidance.

### **Rights of taxpayers in Uganda**

- **Equity.** Taxpayers have a right to be treated with equality by URA when applying the tax laws.
- **Confidentiality.** A taxpayer has a right of secrecy of tax information by URA.
- **Facilitation of tax compliance.** Taxpayers have a right to be provided with clear, precise and timely information to their inquiries, complaints and requests by URA.
- **Objections and Appeals.** A taxpayer has a right to be attended to by URA as regards to tax appeals and objections in accordance with the relevant laws and procedures.
- **Prior Notices.** A taxpayer has a right to prior notices by URA on any matter like inspection of the business, auditing, etc.
- **Tax Refunds.** A taxpayer has a right to be refunded by URA within the prescribed or stated time as per the prescribed laws.
- **Customer Care.** A taxpayer has a right to excellent customer care by URA i.e. a customer has to be guided, given all the relevant information that may be required for taxation matters.
- **Accountability.** URA should be accountable to taxpayers on tax matters like accurate records of tax paid, processing of tax records etc.
- **Processing returns, customs entries and other documents.** A taxpayer has a right to be attended to by URA in regards to processing returns, customs entries and other documents under the relevant law.

### **Obligations/duties/functions/responsibilities of taxpayers in Uganda**

- **Registration.** A taxpayer is required to voluntarily register with URA for tax payments.
- **Filing returns and entries.** A taxpayer is required to file correct tax information about the business transactions to enable URA to tax accurately as required by the laws.
- **Tax payment.** A taxpayer is required to pay correct tax at the right place and at the right time as required by the laws.
- **Co-operation with URA.** A taxpayer is supposed to co-operate with URA on tax related matters by giving full information.
- **Disclosure or declaration of information.** A taxpayer is required to be honest with URA by giving full information required.
- **When you are traveling.** A taxpayer travelling is required to accurately complete all the necessary forms before reaching the arrival or departure processing point.

- **When you are importing or exporting cargo.** A taxpayer importing or exporting Cargo can use the services of licensed customs brokers/agents to complete customs entrances and related formalities

#### **Employer's obligation**

- **To withhold tax from employment income.** To deduct the correct tax from the employee's total employment income at the time of effecting payment to every liable employee.
- **To make Payment.** To pay to URA the total tax by the 15th day of the month immediately following the month in which employment Income was paid.
- **To ensure accountability.** To account for the tax deducted from every employee on a monthly basis to Uganda Revenue Authority.
- **To maintain employees' records** and keep those records for inspection by URA on demand for at least five years.

#### **Basic Tax Computations**

- (a) **Corporation Tax.** This is a tax charged on the company's profits. Or

It is a tax paid by companies on the profits made.

The tax rate applied in Uganda on chargeable income for both resident and non-resident companies is 30%.

#### **Example One:**

RK Limited's gross income for the year 2017 was UG Shs 95,000,000 and the allowable expenses amounted to UG Shs 60,000,000. Calculate the chargeable income and hence determine the amount of tax payable.

#### **Solution**

##### **Step One: Determine chargeable income**

Chargeable income = Gross income – Allowable expenses

Chargeable income = 95,000,000 – 60,000,000  
= Shs 35,000,000

##### **Step Two: Compute tax payable**

Tax payable = Chargeable income x Tax rate

Tax payable = 35,000,000 x 30%  
= **Shs 10,500,000**

**Therefore, RK Limited is required to pay a Corporation tax of Shs 10,500,000 in the year 2017**

- (b) **Individual Income Tax.** This is tax paid by individuals on their incomes.

The income from be from business or employment. The tax rates applicable are represented by the income tax schedules below;

#### **Annual income tax schedule**

| <b>Annual chargeable income (Shs)</b>                   | <b>Tax rate applicable</b>                                                                                                                                                                                                                                        |
|---------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Not exceeding Shs 2,820,000                             | Nil                                                                                                                                                                                                                                                               |
| Exceeding Shs 2,820,000 but not exceeding Shs 4,020,000 | 10% of the amount by which chargeable income exceeds Shs 2, 820,000                                                                                                                                                                                               |
| Exceeding Shs 4,020,000 but not exceeding Shs 4,920,000 | Shs.120, 000 plus 20% of the amount by which chargeable income exceeds Shs 4,020,000                                                                                                                                                                              |
| Exceeding Shs 4,920,000                                 | (a) Shs 300,000 plus 30% of the amount by which chargeable income exceeds Shs 4,920,000<br>(b) Where the chargeable income of an individual exceeds Shs 120,000,000, an additional 10% is charged on the amount by which chargeable income exceeds Shs120,000,000 |

**Example One:**

Mr. Mabonga's gross income for the year 2020 was UG Shs 75,000,000 and his allowable expenses amounted to UG Shs 50,000,000. Calculate his chargeable income for the year and hence determine the amount of tax payable for the year 2020 using the income tax schedule provided above.

**Solution:****Step One: Determine chargeable income**

Chargeable income = Gross income – Allowable expenses/deductions

$$\begin{aligned}\text{Chargeable income} &= 75,000,000 - 50,000,000 \\ &= \text{Shs } 25,000,000\end{aligned}$$

**Step Two: Compute tax payable**

Tax payable = Chargeable income x Tax rate

**NB:** Mr Mabonga's annual chargeable income falls in the fourth category (bracket) where it is exceeding Shs 4,920,000 and the applicable rate is 30% of the amount by which chargeable income exceeds Shs 4,920,000 plus Shs 300,000

Tax payable = Shs 300,000 + 30% of the amount by which chargeable income exceeds Shs 4,920,000

$$\text{Tax payable} = 300,000 + 30\% \times (25,000,000 - 4,920,000)$$

$$\begin{aligned}\text{Tax payable} &= 300,000 + 6,024,000 \\ &= \text{Shs } 6,324,000\end{aligned}$$

Therefore, Mr Mabonga pays Shs 6,324,000 as income tax for the year 2020

**(a) Employment income tax/Pay As You Earn (PAYE)**

**Employment Income** is any income derived by an employee from any employment, whether past, present or future.

**PAYE computation rates**

| Monthly chargeable income (Shs)                     | Tax rates applicable                                                                                                                                                                                                                                         |
|-----------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Not exceeding Shs 235,000                           | Nil                                                                                                                                                                                                                                                          |
| Exceeding Shs 235,000 but not exceeding Shs 335,000 | 10% of the amount by which chargeable income exceeds Shs 235,000                                                                                                                                                                                             |
| Exceeding Shs 335,000 but not exceeding Shs 410,000 | Shs 10, 000 plus 20% of the amount by which chargeable income exceeds Shs 335, 000.                                                                                                                                                                          |
| Exceeding Shs 410,000                               | (a) Shs 25,000 plus 30% of the amount by which chargeable income exceeds Shs 410,000<br>(b) Where the chargeable income of an individual exceeds Shs 10,000,000, an additional 10% is charged on the amount by which chargeable income exceeds Shs10,000,000 |

**Example One:**

Kukundakwe is employed as a security guard in Bumasifa Construction Co Ltd. he earns a monthly salary of Shs 200,000. Compute Kukundakwe's monthly tax liability.

**Solution:**

The tax liability is NIL because the monthly salary for Kukundakwe is less than the threshold of Shs.235.000, so his salary does not attract PAYE.

**Example Two:**

Cash Book is an employee of MTN Company LTD. he earns the following income; a salary of Shs 700,000, traveling allowance Shs 120,000 and medical allowance of Shs 300,000. Compute his monthly PAYE tax liability.

**Solution:**

**Chargeable/Gross income = Basic pay (Salary) + Total allowances**

|                                      |                  |
|--------------------------------------|------------------|
| Salary                               | Shs.700,000      |
| Travelling allowance                 | Shs.120,000      |
| Medical allowance                    | Shs.300,000      |
| <b>Total/Gross/Chargeable income</b> | <b>1,120,000</b> |

**PAYE = Chargeable income x Tax rate**

*NB: Cash Book's monthly chargeable income is in the fourth bracket where it is exceeding Shs 41 0,000 and the applicable rate is 30% of the amount by which chargeable income exceeds Shs 410,000 plus Shs 25,000.*

PAYE = Shs 25,000 + 30% of the amount by which chargeable income exceeds Shs 410,000

PAYE = 25,000 + 30% x (1,120,000 – 410,000)

PAYE = 25,000 + 213,000

**= Shs 238,000**

Therefore, Cash Book pays a monthly PAYE a tax liability of shs 238,000.

### **Example Three:**

Bamu is an employee of Kavesh Ltd. he earns the following monthly income; a salary of Shs 7,000,000, traveling allowance of Shs 1,200,000 and medical allowance of Shs 3,000,000, security Shs.500,000. Compute his monthly PAYE tax liability.

### **Solution:**

**Chargeable/Gross income = Basic pay (Salary) + Total allowances**

| Items                                | Ushs.             |
|--------------------------------------|-------------------|
| Salary                               | 7,000,000         |
| Travelling allowance                 | 1,200,000         |
| Medical allowance                    | 3,000,000         |
| Security                             | 500,000           |
| <b>Chargeable/Gross/Total Income</b> | <b>11,700,000</b> |

*NB: Bamu's chargeable income is in the fourth bracket where it is exceeding Shs 410,000 and the applicable rate is 30% of the amount by which chargeable income exceeds Shs 410,000 plus Shs 25,000. since his chargeable income exceeds Shs 10,000,000, an additional 10% is charged on the amount by which chargeable income exceeds Shs 10,000,000*

**Step One: Using (a) in the fourth bracket where chargeable income exceeds Shs 410,000.**

PAYE = Shs 25,000 + 30% of the amount by which chargeable income exceeds Shs 410,000

PAYE = 25,000 + 30% x (11, 700,000 – 410,000)

PAYE = 25,000 + 3,387,000

**= Shs 3,412,000**

**Step Two: Using (b) in the fourth bracket where chargeable income exceeds Shs 10,000,000.**

PAYE = 10% of the additional income

PAYE = 10% x (11, 700,000 – 10,000,000)

PAYE = 0.1 x 1,700,000

**= Shs 170,000**

**Step Three: Total PAYE Payable**

Total PAYE Payable = PAYE using (a) + PAYE using (b)

**= 3,412,000 + 170,000**

**= Shs 3,582,000**

Therefore, Bamu pays a monthly PAYE tax liability of Shs 3,582,000

### **Rental income tax**

**Rental income** is income earned by an individual from letting out immovable property in Uganda. The immovable property includes land and buildings.

## **Procedure for computing rental tax**

### **Step One: Determine the gross rental income**

Gross rental income = Total rental income

### **Step Two: Determine the value for expenses and losses for the year**

Expenses and losses = 20% of the Gross rental income

### **Step Three: Determine the net rental income**

Net rental income = Gross rental income – Expenses and losses

### **Step Four: Determine the chargeable rental income**

Chargeable rental income = Net rental income – Rental tax threshold

### **Step Five: Determine the rental tax payable**

Rental tax payable = Rental tax rate x Chargeable rental income

### **Example one:**

Jane earned Shs 5,500,000 from her house in Nkoma, Shs 9,000,000 from her house in Bujoloto and Shs 6,000,000 from her house in Nauyo for the year 2020. Determine her annual rental tax paid to URA.

#### **Solution:**

$$\begin{aligned}\text{Gross rental income} &= \text{Rental income from (Bujoloto + Nkoma + Nauyo)} \\ &= 5,500,000 + 9,000,000 + 6,000,000 \\ &= \text{Shs } 20,500,000\end{aligned}$$

$$\begin{aligned}\text{Expenses and losses} &= 20\% \text{ of the Gross rental income} \\ &= 20\% \times 20,500,000 \\ &= \text{Shs } 4,100,000\end{aligned}$$

$$\begin{aligned}\text{Net rental income} &= \text{Gross rental income} - \text{Expenses and losses} \\ &= 20,500,000 - 4,100,000 \\ &= \text{Shs } 16,400,000\end{aligned}$$

$$\begin{aligned}\text{Chargeable rental income} &= \text{Net rental income} - \text{Rental tax threshold} \\ &= 16,400,000 - 2,820,000 \\ &= \text{Shs } 13,580,000\end{aligned}$$

$$\begin{aligned}\text{Rental tax payable} &= \text{Rental tax rate} \times \text{Chargeable rental income} \\ &= 20\% \times 13,580,000 \\ &= \text{Shs } 2,716,000\end{aligned}$$

Therefore, Jane is required to pay Individual Rental Income Tax of **Shs 2,716,000**

**NOTE:** After amendments for the financial 2021/2022, the tax rate for resident individuals was increased from 20% to 30% and the allowable deductions for expenses and losses incurred in the generation of rental income was increased from 20% to 75%.

### **(c) Value Added Tax (VAT)**

This is the tax charged on the value added to taxable goods and services at different stages in the chain of distribution. Or

It is a tax on the expenditure on consumption of goods and services.

#### **VAT Mechanisms/Approaches**

##### **(i) VAT Paid/Payable = VAT Output – VAT Input**

**VAT Input/Input tax:** Is VAT on purchases.

$$\text{VAT Input} = \text{Tax rate} \times \text{Purchases}$$

**VAT Output/Output tax:** Is VAT on sales. Or

It is a tax charged by a taxable person when selling to customers.

$$\text{VAT Output} = \text{Tax rate} \times \text{Sales}$$

##### **(ii) VAT Paid/Payable = Tax rate x (Sales – Purchase)**

But

$$\text{Sales} - \text{Purchases} = \text{Value Added}$$

$$\textbf{Therefore: VAT Paid/Payable} = \text{Tax rate} \times \text{Value Added}$$

$$\textbf{(iii) Total Purchase Price} = \text{Purchases} + \text{Total VAT Paid}$$

$$\textbf{(iv) Gross Sales Value} = \text{Sales} + \text{Total VAT Paid}$$

**(a) Calculating VAT payable at single stage**

$$\text{VAT Fraction} = \frac{R}{R + 100}$$

Where R is rate of a tax

Given VAT standard rate of 18%, then

$$\begin{aligned} \text{VAT Fraction} &= \frac{18}{18 + 100} \\ &= \frac{18}{118} \end{aligned}$$

**Example:**

Mabonga is a taxable person; he made taxable sales of Shs 300,000,000 and purchases of Shs 250,000,000 (VAT inclusive). Determine VAT payable to URA.

**Solution:**

**Method One:**

$$\text{VAT Paid/Payable} = \text{VAT Output} - \text{VAT Input}$$

But

$$\text{VAT Output} = \text{Tax rate} \times \text{Sales}$$

$$\begin{aligned} \text{VAT Output} &= \frac{18}{118} \times 300,000,000 \\ &= \text{Shs } 45,762,712 \end{aligned}$$

$$\text{VAT Input} = \text{Tax rate} \times \text{Purchases}$$

$$\begin{aligned} \text{VAT Input} &= \frac{18}{118} \times 250,000,000 \\ &= \text{Shs } 38,135,593 \end{aligned}$$

$$\begin{aligned} \textbf{Therefore: VAT payable} &= 45,762,712 - 38,135,593 \\ &= \text{Shs } 7,627,119 \end{aligned}$$

**Method Two:**

$$\text{VAT Paid/Payable} = \text{Tax rate} \times (\text{Sales} - \text{Purchase})$$

$$\begin{aligned} \text{VAT Paid/Payable} &= 18/118 \times (300,000,000 - 250,000,000) \\ &= \text{Shs } 7,627,119 \end{aligned}$$

**Example Two:**

Tumukunde is a dealer of taxable supplies which are VAT exclusive. During the year 2020, he bought goods worth Shs 60,000,000 and sold the same goods at Shs 100,000,000. Determine the VAT payable for the year.

**Solution:**

**Method One:**

$$\text{VAT Paid/Payable} = \text{VAT Output} - \text{VAT Input}$$

But

$$\begin{aligned} \text{VAT Output} &= \text{Tax rate} \times \text{Sales} \\ &= 18\% \times 100,000,000 \\ &= \text{Shs } 18,000,000 \end{aligned}$$

$$\begin{aligned} \text{VAT Input} &= \text{Tax rate} \times \text{Purchases} \\ &= 18\% \times 60,000,000 \\ &= \text{Shs } 10,800,000 \end{aligned}$$

$$\begin{aligned}\text{Therefore: VAT payable} &= 18,000,000 - 10,800,000 \\ &= \text{Shs } 7,200,000\end{aligned}$$

#### Method Two:

$$\begin{aligned}\text{VAT Paid/Payable} &= \text{Tax rate} \times (\text{Sales} - \text{Purchase}) \\ \text{VAT Paid/Payable} &= 18\% \times (100,000,000 - 60,000,000) \\ &= 0.18 \times 40,000,000 \\ &= \text{Shs } 7,200,000\end{aligned}$$

#### Calculating VAT payable at different stages of distribution/VAT trial

Benon imported goods worth Ug Shs 60M and sold the same goods to Mutumba a local distributor at Shs 65M. Mutumba sold the same goods to Mabonga the wholesaler at Ug Shs 68M. Mabonga sold the same goods Joshua the retailer at Ug Shs 70M and Joshua sold the same goods to the final consumer at Ug Shs 72M. Given that all prices are inclusive of VAT and the VAT rate is 18%, calculate;

- (i) VAT payable each stage.
- (ii) Total VAT payable to URA.
- (iii) Total purchases price.
- (iv) Gross sales value to the final consumer.

#### CHAPTER: INSURANCE

Insurance refers to where persons exposed to a risk/common risk pay a small amount of money to insure a risk so that those who suffer the stated risk are compensated out of the pool. Or

Insurance refers to a contract between the insurer and the insured where the insured pays premiums to the insurer so that in case of a loss or damage, the insured is compensated.

#### Terms used in insurance

1. **Risk:** This refers to the event against which insurance is taken or refers to any event insured against which is likely to cause harm or a loss.
2. **Pooling of risks.** This is where individuals exposed to a common risk contribute a small amount of money called premiums towards a common pool from which those actually suffer a loss as a result the risk are compensated.
3. **Loss:** This refers to the possibility of suffering damage/harm or it refers to the occurrence of the risk against which insurance is taken.
4. **Insurance policy:** This refers to the contract between the insurer and the insured.
5. **Insurer:** This is an insurance company that provides an insurance policy. e.g State Wide Insurance Company (SWICO), Pax, Excel, Britam, ICEA etc
6. **Insured:** This refers to the person or business that takes out insurance and is promised compensation in the event of a loss.
7. **Premiums:** This refers to the periodical contributions made by the insured to the insurer as a consideration for the insurance cover or policy provided by the insurer. Or  
It refers to the periodical payments made by the insured to the insurer for a given insurance policy undertaken.
8. **Sum insured:** This is the value of the property insured as stated by the owner at the time of applying for insurance.
9. **Over insurance:** This is when the insured over declares the value of his/her property at the time of taking insurance.
10. **Under insurance:** This is when the insured under declares the values of his/her property at a time of the insurance.
11. **Co-insurance (Double insurance):** This is where the insured takes out an insurance policy for the same risk with more than one insurance company.

12. **Re-insurance:** This is when the risk is so heavy/expensive that one insurer cannot cover it alone so it also insures it partly with another insurance company.
13. **Actuary:** This is a professional person who calculates premiums to be paid by the insured basing on the available statistics and information.
14. **Assessor/adjustor:** This is a skilled person who calculates the loss before the compensation is made.
15. **Surrender value:** This is the amount of money given back to the insured when he/she decides to cancel or terminate the insurance or insurance policy before the specified period or expiry maturity date.

#### **Types of risks**

- (a) **Insurable risks.** These are risks whose chances or probability of occurring can be statistically calculated from the past experience. e.g fire outbreak, accidents etc.
- (b) **Non-insurable risks.** These are risks whose chances or probability of occurring cannot be statistically calculated or determined. e.g outbreak of a war.
- (c) **Pure risks.** These are risks that involve only a chance of loss. e.g death, fire outbreak among others. These are risks that must happen or occur or take place.
- (d) **Speculative risks.** These are risks which can give either a gain or a loss. e.g gambling

#### **Types of losses**

- (a) **Total loss:** This is when the entire property insured has been destroyed
- (b) **Partial loss:** This is when part of the property insured has been destroyed.

#### **Elements/principles/doctrines/dogmas of insurance**

1. **Insurable interest:** This requires that before one insures his/her property, he/she must have interest in it. He or she has to suffer in the event of the risk insured against occurring/happening.
2. **Utmost good faith.** This requires that one applying for insurance should disclose all the relevant materials facts concerning the property to be insured i.e. the insured should be honest at a time of taking out the insurance policy. This helps to accurately calculate premium to be paid. In case some facts are not disclosed, and it is found out when premiums are already paid, then they are not refunded and the policy is cancelled or terminated.
3. **Subrogation.** It states that after compensation has been made, the scrap value should be taken by the insurer i.e. No one should gain out of the loss.
4. **Indemnity.** This states that insurance does not benefit a person but restores him/her to the former financial position or state he/she was in before the loss.
5. **Proximate cause.** This principle states that there must be a close relationship between the cause of the loss and actual risk insured for compensation to be made.
6. **Contribution.** This is where an individual/the insured who insures his or her property with more than one insurance company is compensated by way of contribution by the insurance companies.

#### **Roles/contributions/importance of insurance companies/insurance**

##### **(A) To businessmen**

- Acting as trustees for the business men. They look after the property of the deceased and pay fees for the insured.
- Compensating the businesses in case of loss of damage.
- Facilitating international trade i.e. providing security to the businessmen.
- Safe guarding the property of the business against damage or harm.
- Providing loans to the businessmen so as to expand their businesses.
- Providing capital or money to businesses in times of difficulties.
- Encouraging individuals and businesses to save money which can be used for emergencies e.g life assurance.

##### **Advantages/merits/benefits of insurance companies to businesses**

- Acts as trustees for businessmen i.e. they look after the property of the deceased and pay fees for the insured
- Compensates the businesses in case of loss or damage

- Facilitates international trade i.e. provides security to the businessmen
- Safe guards the property of the businesses against damage or harm
- Provides loans to businesses so as to expand their operations.
- Provides capital or money to businesses in times of difficulties
- Encourages individuals and businesses to save money which can be used for emergencies e.g life assurance.

#### **(B) To the community**

- Creating of employment opportunities for the community members. e.g the assessors.
- Generating government revenue through paying taxes
- Ensuring continuity of the business through compensation.
- Reduction of costs (business costs) like work men's compensation.
- Facilitating trade by providing insurance policies covering goods in transit.
- Safety guarding property of the business men against all risks
- Compensating the insured in case of a loss.
- Develops infrastructure like the roads.
- Providing insurance policies that are used as collateral security to acquire loans
- Ensuring or encouraging investment confidence in the community
- Educating the community on the importance of insurance through campaigns through seminars.
- Providing loans to the community members to undertake businesses.
- Advising businessmen on various investment opportunities to be under taken.

#### **Problems/challenges faced by insurance companies/insurance in Uganda**

##### **(Reasons why insurance services or insurance is unpopular in Uganda)**

- Limited capital to expand the business or the industry.
- Limited information/ignorance of the public or community about the importance of insurance
- Insecurity/political instability in some parts of the country which discourages investment in the insurance business.
- The concentration of most insurance companies in urban centres or areas thus limiting the rural areas.
- Corrupt employees or workers who steal business funds thus reducing the capital of the business.
- Poorly developed infrastructure that limits access to some places like poor roads with pot holes.
- Stiff competition amongst the insurance companies.
- Over and under declaration of the value for the property to be insured by the clients or customers with an aim of paying less premiums or to be compensated highly.
- Misconception of insurance as being for only the rich.
- Economic instabilities like inflation, fluctuating interest rates etc which increases the cost of operation.

#### **Steps/procedures/process/stages of taking out an insurance policy**

- Making inquiries on the insurance company to insure with from the insurance agents/brokers. This is done to find out the best company to insure with the property for a person or business.
- Choosing the insurance company to insure with.
- Filling a proposal form that indicates the information required by the insurer e.g the name of the applicant, location and address of the business, insurance policy required and any other relevant information.
- Calculating of premiums based on the information given in the proposal form. i.e. nature of the risk to be insured the value of the property to be insured, the duration of the insurance cover etc
- Paying premiums and issuing a cover note. After the premiums have been calculated, the insured pays premiums and is issued with a cover note by the insurer that the first premium has been paid.
- Issuing an insurance policy. Depending on the policies of the insurance company, a month after payment of the first premiums, an insurance policy is issued.

### **Documents used in insurance**

1. **Proposal form.** This is an application form provided by the insurer to the insured requiring him/her to fill the details of the property and the risk to be insured.
2. **Cover note.** This is a proof that premiums have been paid and accepted by the insurer who undertakes to compensate the insured.
3. **Claim form.** This is a document filled by the insured to notify the insurer that he/she has suffered the loss through the risk covered by the insurer.
4. **Insurance policy.** This is a document of contract between the insurer and the insured containing all major terms, conditions and warranties of the contract of insurance.

### **Importance/benefits of an insurance policy**

- It serves as an evidence of a contract between the insurer and the insured.
- It acts as collateral security for the insured to acquire a loan from financial institutions like banks.
- It enables the insured to be compensated in case of a loss.
- It holds the two parties responsible.
- It states the terms and conditions of the contract.
- It guarantees continuity of the business in case of occurrence of a risk because the insured is assured of compensation.

### **Circumstances/conditions under which an insurance policy may be terminated**

- In case of the destruction of the subject matter or property against which insurance is taken.
- When the insured over declares or under declares the value of the property insured and it is discovered later by the insurer.
- When the insured has been compensated.
- When the insured fails to pay premium.
- When the contract has expired.
- If the insured insures the property where he/she has no insurable interest and it is discovered by the insurer later.
- When there is frustration or insanity of the insured.

### **Factors considered when determining insurance premiums to be paid**

- **The nature of the property being insured.** Delicate and fragile properties or goods to handle like petrol stations attract higher premiums than obvious goods or properties.
- **The number of people exposed to the same risk.** The bigger the number, the lower the premiums because the costs are spread and the lower or the smaller the number, the higher the premiums.
- **The frequency of the occurrence of the risk being insured.** The bigger the possibility of the occurrence of the risk, the higher the premiums paid than where the possibility of the occurrence is low.
- **Operating expenses of the insurer.** Higher administrative costs and rates of claim of compensation attract higher premium than lower operating expenses.
- **The desired profit of the insurer.** If the insurer aims at making high profits then high premiums are & charged than where the insurer aims at sales maximization.
- **Precautions undertaken by the insured to reduce the risk.** Availability of precautions like fire extinguishers in buildings, safety belts in vehicles etc tend to reduce the premiums paid than where there are no precautions completely.
- **Level of income of the insured in case it is life assurance.** High income earners are charged high premiums as their beneficiaries have to be given higher compensations than low income earners.
- **The type of policy bought.** Short term policies mostly attract lower premiums than long term policies
- **Age of the property.** Old items and articles face higher chances of damage hence attract higher premiums than new articles and items.

- **Value of the property to be insured.** Expensive goods attract higher premiums than less expensive goods.

### **Types/categories of insurance policies in business**

There are basically two types of insurance policies

1. **Life Insurance/Personal Insurance.** It is the insurance of human life against risks e.g sickness or death. It also refers to life assurance policy. Or It refers to the protection against events that must occur. e.g death

### **Types/forms of life insurance policies**

- (a) **Whole life policy.** This is where compensation is paid after death and premiums are paid throughout the life of the insured.
- (b) **Endowment policy.** This is where premiums are paid every year but for a specified number of years, compensation is made at death or expiry of the period.
- (c) **Sickness policy.** This covers the insured against a specified disease or all forms of curable diseases. The insurer pays medical bills of the insured and other expenses involved, depending on the contract.
- (d) **Group life insurance.** Under this, families or business partners takeout insurance to provide pension during the old age. It acts as a pension scheme.

### **2. General insurance/Property insurance/Non-life insurance**

This gives protection to all property belonging to a person or organization. It covers the insurable risks that would cause financial loss of the person's property if destroyed.

### **Types/forms of general insurance**

- (a) **Fire insurance policy.** This is an insurance policy undertaken by the entrepreneur to protect his business against losses caused due to fire outbreaks.
- (b) **Theft and burglary policy.** This is an insurance policy that covers losses resulting from theft or burglary of business goods or property.
- (c) **Machinery breakdown and consequential loss policy.** This is a policy undertaken to protect against losses resulting from machine breakdown.
- (d) **Loss of profits policy.** This is an insurance policy that covers losses resulting from operational losses such that an entrepreneur is compensated on an agreed percentage of the loss suffered.
- (e) **Public liability policy.** This is an insurance policy that protects the insured against claims from the members of the public as a result of damages caused by the company's property or company.
- (f) **Aviation insurance policy.** This is a policy which covers losses resulting from personal accidents and cargo damages due to air craft crashes.
- (g) **Motor insurance policy.** This is an insurance policy which covers against loss as a result of motor accidents, theft or fire.
- (h) **Cash or goods in transit policy.** This is an insurance policy which covers against losses of goods or cash entering or leaving the business premises.
- (i) **Loss of money in transit policy.** This is an insurance policy that safe guards the entrepreneur against loss of money when entering or leaving the business premises.
- (j) **Marine insurance policy.** This is an insurance policy of the water vessel and cargo transported on water. Marine insurance policy covers goods transported on water and marine hull policy covers against loss of vessel or damages towards the third party and passengers.
- (k) **Employer's liability policy/workmen's compensation policy.** This insures against loss suffered by employees or workers while at work or during working hours.
- (l) **Fidelity guarantee policy.** This is a policy undertaken by the entrepreneur against loss suffered as a result of workers stealing business cash or funds.
- (m) **Third party policy.** This is an insurance policy that safeguards the third party against damages caused by the insured vehicle, other than the insured themselves i.e. it only covers other people or passengers hurt by the insured vehicle. This policy is compulsory for all vehicles in Uganda.

## CHAPTER: INTERNATIONAL TRADE

International trade refers to the exchange and distribution of goods and services bet among countries. Or It also refers to buying and selling goods and services across country boarders.

### Basis for international trade

Trade between countries takes place because of differences in the cost of production. The basis of international trade is explained by the two theories namely:

- i. **The principle of absolute advantage:** This is where given two countries and two commodities, one country can produce both commodities more cheaply than the other with the same amount of resources.
- ii. **The law of comparative advantage:** This states that a country should specialize in the production of a commodity in which it incurs list opportunity cost compared to the other. When the two countries specialize in particular commodities, they will produce surplus output which can be exchanged.

### Types/forms/categories of international trade

- (a)**Export trade:** This is the sale of goods and services to other countries. It consists of exports i.e goods and services a county sells to other countries.
- (b) **Import trade.** This is the purchase or buying of goods and services from other countries. It consists of goods and services a country buys from other countries.
- (c) **Visible trade:** This is the trade in goods i.e tangible or physical items like coffee, cars, machinery etc. It consists of **visible exports** and **visible imports**.
- (i) **Visible exports:** These are goods which a country sells to other counties e.g Uganda's visible exports include coffee, cotton tea, hides, flowers, Vanilla.
- (ii) **Visible imports:** These are goods which a country purchases from other countries. Uganda 's visible imports include motor vehicles, machinery, drugs, textiles, etc
- (d) **Invisible trade:** This is the trade in services i.e intangible things like tourism, banking, insurance etc. It consists of **invisible exports** and **invisible imports**.
- (i) **Invisible exports:** These are services which one country sells to other counties. Uganda 's invisible exports include tourism and education.
- i) **Invisible imports:** These are services which a country imports from other countries. Uganda's invisible imports include all services provided to Uganda by foreign firms operating in the country:
- ii) **Bilateral trade:** This is the trade between two countries. For example, Uganda's trade with Kenya.
- f) **Multi-lateral trade:** This is the trade with many (more than two) countries. For example, Uganda's trade with Kenya, Sudan, Rwanda, South Africa, DRC, Britain, USA. e.t.c
- g) **Entre-port trade:** This refers to re-export trade i.e. a form of trade where a country re-exports to other countries goods previously imported.
- h) **Dumping:** This refers to the sale of goods abroad at give-away prices i.e at prices lower than those charged in the domestic market in order to dispose-off the surplus.

### Terms used in international trade

#### 1.Balance of trade

This refers to the difference between the value of a country's visible exports and visible imports. It the difference between the value of goods exported and goods imported by a country. A country may have favourable balance of trade or unfavourable balance of trade.

- (a) **Favourable balance of trade:** This is a situation where the value of a country's visible exports exceeds that of visible imports i.e. a country exports more goods than she imports.
- (b) **Unfavourable balance of trade:** This is a situation where the value of a country's visible imports exceeds that of visible impost ie a country imports more goods than she exports.

2. **Balance of Payments (B.O.P).** This refers to the difference between receipts from both visible and invisible exports and payments for both visible and invisible imports of a country. It is the difference between foreign

exchange earnings from abroad and foreign exchange expenditure abroad. A country may have favourable balance of payments or unfavourable balance of payments.

**(a) Favourable balance of payments (balance of payment surplus).** This is a situation where a country's earnings (receipts) from exports exceed expenditures on imports.

**(b) Unfavourable balance of payments (Balance of payments deficit).** This is a situation where a country's expenditure on imports exceeds receipts from exports. Uganda experiences persistent balance of payments deficits due to low export earnings and high import expenditure.

### 3. Terms of trade

This refers to the rate at which a country's exports are exchanged for imports ie the relationship between export prices and import prices. It can also refer to the import purchasing power of exports.

$$\text{Terms of trade} = \frac{\text{Price of Exports}}{\text{Price of imports}}$$

A country may experience favourable terms of trade or unfavourable terms of trade

**(a) Favourable terms of trade;** This is a situation where the price of a country's exports are greater than the price of a country's imports. Developed countries experience favourable terms of trade because they export products of high prices e.g machinery and import products of low prices e.g cotton and coffee.

**(b) Unfavourable terms of trade:** This is a situation where import prices are greater than export prices. Most developing countries including Uganda experience unfavourable or deteriorating terms of trade because they export mainly primary products like coffee and cotton with low value added and hence of low prices and yet imports manufactured goods like machinery which are of higher prices.

### Causes of unfavourable terms of trade for Uganda

- Falling prices of Uganda's exports in international markets e.g coffee.
- Importation of expensive capital and consumer goods e.g machinery, tractors, etc.
- Exportation of agricultural and mineral products with low value added e.g cotton.
- Weak bargaining power of Uganda in international markets.
- Low quality of Uganda's exports
- Increasing competition of Uganda's exports with synthetics produced by developed countries.
- Invention of raw material saving techniques by developed countries.
- Protectionism policies or trade restrictions by developed countries.
- Unfavourable exchange rates.
- Market flooding or over supplying of raw agricultural products resulting in fall exports prices.

### Factors which give rise to international trade (Why international trade arises/ is essential)

- **Differences in the availability of natural resources:** Countries are endowed (gifted) with different natural resources eg minerals, soils, fisheries, etc which enable them to produce different types of goods and hence the need for exchange. For example, Kuwait is rich in oil but not in coffee.
- **Differences in the level of technology and skills:** Countries have different levels of technology and skills which enable them produce different products which call for exchange. For example, Japan produces cars while Uganda does not.
- **Differences in geographic (climatic conditions):** This gives rise to production of different products and hence the need for exchange.
- **The need to dispose-off surplus;** A country may produce a commodity in excess of her domestic demand and hence the need to dispose-off surplus through trading with other countries.
- **The need to obtain revenue:** Countries participate in international trade in order to generate revenue by imposing import and exports duties.
- **To promote international relations:** Countries participate in international trade in order to promote international co-operation and closer political ties with trading partners.

- **The need to earn foreign exchange:** Countries engage in international trade in order to earn foreign exchange through export of goods and services.
- **The law of comparative advantage:** This encourages countries to specialize in the production of commodities which they can produce cheaply or at least opportunity cost and imports others from other countries.
- **Uneven distribution of factors of production:** Countries participate in international trade in order to obtain factors of production or co operant factors like capital and skilled manpower.
- **To overcome domestic shortages during natural disasters:** The need to overcome domestic shortages during periods of natural calamities like floods, earth quakes. etc compels countries to engage in international trade.
- **Differences in the level of industrial development:** Some good are uneconomic to produce in some countries but others can produce them efficiently.
- **To obtain goods and services which a country cannot produce at home.** Countries participate in international trade in order to obtain goods and services which they cannot produce at home due to the need to specialize.

#### **Advantages/benefits/importance of international trade**

- **Enables countries to obtain what they cannot produce at home.** International trade enables countries to obtain what they cannot produce at home by importing goods and services from other countries.
- **Enables countries to dispose-off surplus output.** International trade enables countries to dispose-off their surplus raw materials and products to other countries which would otherwise be wasted or remain unutilized.
- **Provides a variety of goods and services.** International trade helps countries to obtain a wide variety of goods and services for their nationals from other counties there by widening their choices and improving their standards of living.
- **Promotes international relations.** International trade promotes international peace because of co-operation and dependence on each other's economies.
- **Promotes technological transfer.** International facilitates transfer of technology and skills from developed countries to developing countries.
- **Promotes competition between local and international producers.** International trade promotes healthy competition between local and foreign producers which leads to improvement in quality of products and lower prices.
- **Encourages international specialization.** International trade encourages countries to specialize in the production of commodities in which they have a comparative advantage over others. This leads to mass output, better quality and low prices.
- **Generates government revenue.** International trade is a source of government revenue through imposition of export and import duties, import licenses etc.
- **Helps out in times of calamities.** International trade helps to avert the effects of calamities or disasters arising from earth quakes, floods, drought, wars etc as emergency relief supplies like food, medicine and drugs are obtained from other countries.
- **Creates employment opportunities.** International trade is a source of employment to those who are engaged in it directly or indirectly e.g exporters and importers as well as those dealing in shipping and transportation of exports and imports.

#### **Disadvantages/demerits of international trade**

- It encourages international specialization which may be dangerous in case of price fluctuation or unexpected fall in demand for exports.
- It encourages dumping ie the sale of goods abroad at give-away prices.

- Makes domestic infant industries to be out competed by imported goods which are normally of better quality and low prices.
- It leads to imported inflation when a country imports goods from an inflationary prone economy.
- It encourages political dominance of one country by another especially where one country depends heavily on another for vital import e.g oil.
- Some goods imported into the country may have adverse effects on the nationals eg certain drugs, pornographic films and literature etc.
- It may worsen the country's balance of payments problems due to excessive importation of goods from other countries and limited exports.
- It leads to exhaustion of resources due to over exploitation in order to satisfy the international market

### **Trade restrictions/Trade protectionism**

This refers to the deliberate government policy to restrict the volume of free trade by imposing artificial barriers to limit the international flow of goods and services. There are two forms of trade restriction namely:

1. **Tariff barriers.** These are taxes or duties levied/charged on imports or exports. They may be import tariffs export tariffs.
2. **Non-tariff barriers.** These are trade restrictions which are not in form of taxes e.g total ban, subsidies etc.

### **Tools or methods of trade restriction**

1. **Tariffs.** These are taxes imposed on imports or exports. The imposition of tariffs on imports makes them relatively more expensive than locally produced goods thereby reducing their domestic demand in favour of locally produced goods.
2. **Quotas.** This refers to the quantitative restriction imposed on the amount of goods to be imported or exported in a given period of time.
3. **Total ban/trade embargo.** This is a complete refusal or legal prohibition of entry of specified goods into the country.
4. **Devaluation.** This refers to the legal (official) reduction in the value of a country's currency in terms of other currencies. Devaluation makes imports more expensive there by reducing their domestic demand.
5. **Subsidies to domestic producers.** Subsidies to import substitution industries reduce their production costs making locally produced goods relatively cheaper than imported goods and hence reducing the inflow of imports.
6. **Foreign exchange control.** This involves a set of regulations that restrict domestic importers access to foreign exchange.
7. **Import licensing.** Only those traders with valid import licenses are authorized to import goods into the country.
8. **Direct administration control.** The government can put in place complicated and bureaucratic or time consuming and lengthy procedures that importers have to go through before they are cleared to import goods into the country. This discourages importers there by reducing the volume of imports.
9. **Quality control requirements.** The importing country through the Uganda National Bureau of Standards may set up high quality and sanitary standards which imported goods must conform to before they are allowed into the country. This limits the inflow of imports into the country.
10. **Trade agreements.** Government may sign bilateral or multilateral agreements with some countries allowing the import of specified goods from only those countries.
11. **Preferential duties.** Imports from specified countries may be taxed less than those from other countries.
12. **Voluntary export restrictions.** This is where the importing country appeals to its trading partners to reduce on the volume of exports they are sending to the country on a voluntary basis especially when such imports are deemed to threaten the domestic industries.

**13. State trading:** This is where government through its trading agencies adopts a preference for purchase of locally produced goods rather than imported goods.

**14. Advance import deposits/import deposits schemes.** These are sums of money in form of foreign

exchange importers are required to deposit with the central bank before they can import goods into the country. This reduces the volume of imports since the importer's capital is tied up with the central bank.

**16. Transport discrimination.** Imports may be subjected to higher transport charges than exports to restrict their inflow into the country.

**17. Deflationary policy.** This involves reducing money supply in order to reduce the domestic demand for imports.

#### **Reasons why countries restrict international trade**

- **To protect domestic infant industries from unfair foreign competition.** Countries put restrictions on international trade to protect their infant industries which are just taking off from unfair foreign competition until they reach a stage where they are large enough to enjoy economies of scale and compete favourably
- **To discourage dumping.** Countries restrict international trade in order to discourage dumping of cheap imports into the country which may be disastrous to the domestic economy.
- **To improve balance of payments position.** Countries restrict international trade in order to improve their balance of payments position by reducing excessive importation of commodities into the country.
- **To promote employment opportunities from domestic industries.** By putting restrictions on imports, government is able to increase the demand for locally produced goods there by stimulating production and widening employment opportunities in home industries.
- **To discourage importation of dangerous goods and protect national security.** Government restricts international trade to discourage importation of dangerous goods like fire arms and ammunitions, and protect national security.
- **To reduce dependence and have a self-sustaining economy.** Imports are restricted in order to reduce the extent of external dependency and achieve a self-sustaining economy by stimulating the demand for locally produced goods.
- **To control imported inflation.** Countries restrict imports to control imported inflation which arises from importation of goods from inflationary prone economies.
- **To protect the health of nationals.** Countries restrict international trade in order to protect the health and morality of nationals by imposing total ban on importation of harmful goods such as cocaine, animal products from countries affected by animal diseases like bird flu, pornographic materials etc.
- **To protect strategic industries.** It is necessary to restrict international trade in order to protect basic or strategic industries e.g food or agricultural processing industries.
- **To retaliate against trade restrictions imposed by other countries.** Countries put restrictions on international trade as a retaliatory measure against restrictions imposed by other countries on a country's exports i.e beggar my neighbour policy.
- **To promote political objectives.** Countries restrict international trade as a tool of foreign policy to achieve political objectives.
- **To generate government revenue.** Countries put restrictions on international trade in form of import and export tariffs or duties to generate government revenue.

#### **Disadvantages of trade restrictions/protectionism**

- Poor quality goods are produced domestically as industries are protected from foreign competition.
- It leads to high prices of goods in the domestic market due to inefficiency of protected industries.
- It leads to limited variety of goods on the domestic market
- It encourages retaliation from other trading partners which reduces foreign exchange earnings from exports.
- It leads to loss of revenue from import duties if restrictions are in form of non-tariff barriers like quotas.

- It encourages trade malpractices such as smuggling.
- It encourages monopoly tendencies due to lack of competition.
- It reduces the volume and thus benefits of trade.
- It increases government expenditure e.g. in form of subsidies.

### **Intermediaries in international trade**

- **Import commission agents:** These are middlemen who import goods and sell them on behalf of the exporter for a commission. They do not bear any risk since they can return any unsold goods to the supplier at his own expenses. Import commission agents normally import goods whenever they receive local orders.
- **Import merchants:** These are traders who purchase goods from abroad in their own names and sell them on the local (domestic) market for a profit.
- **Import brokers:** These are middlemen who do not physically possess the goods but simply connect the importers and exporters in the purchase or sale of goods by arranging deals to facilitate the possible purchase or sale of these goods. They are paid a commission called **brokerage** for their services.
- **De-credere agents:** These are middlemen who guarantee to sell all the exporter's goods as well as the collection of debts from his customers who buy on credit.
- **Forwarding agent:** This transports goods on behalf of the exporter or importer eg Inter-freight Uganda Limited.
- **Sole accredited agent:** This is the only person or firm authorized to sell the exporter's goods in a particular country.
- **Forwarding and clearing agents:** These are middlemen who help in clearing goods at the borders on behalf of the importers and exporters.

### **Financing international trade**

- (a) **Bank draft:** This is a cheque drawn by one bank to another. The importer may direct his bank to pay his exporter through the exporter's bank by drawing up a cheque in favour of the exporter's bank.
- (b) **Telegraphic transfer:** The importer's bank instructs the exporter's bank to make payments to the exporter by use of a telegraph or cable. It is fastest means of payment in international trade.
- (c) **Bill of exchange:** This is an unconditional written order addressed by the creditor to the debtor requiring the person to whom it is addressed (debtor) to pay on demand or at a future stated date, a sum of money to a named person or his order.
- (d) **Documentary credit:** The exporter may request that the importer opens up credit facilities in favour of the exporter at a bank in the exporter's country.
- (e) **Documentary bill:** The exporter may draw a bill of exchange on the importer of his goods.
- (f) **Cash with order (CWO):** This is where the importer is required to place an order to the exporter together with cash. This payment can also be made in the form of cheques and not necessarily currency notes and coins.
- (g) **Promissory notes:** This is an unconditional promise in writing made by a debtor to pay a specific sum of money to his creditor on demand or at a future date.
- (h) **Cheques:** This is a written order by an account holder to his bank to pay a specific sum of money to a named person or his order on demand. Traveler's cheques may be used to make small payments abroad.
- (i) **Letter of credit:** This is a document issued by the importer's bank to the exporter guaranteeing payment to the exporter. It is used when goods are sold on credit.
- (j) **Traveler's cheques:** These are cheques issued by banks in fixed denominations to people traveling distant places after paying for them in advance.

### **Documents used in international trade**

1. **Indent.** This is an international order for goods. It is usually placed by the importer through his agent in the exporting country. An indent may be an **open indent** or a **closed indent**.

- (a) **Open indent.** This is the one where the manufacturer expected to supply the goods is not specified by the importer. It is up to the importer's agent to choose a suitable supplier for the importer.
- (b) **Closed indent:** This is the one where the manufacturer expected to supply the goods is specified.
- 2. **Certificate of origin.** This is a shipping document which specifies the country from which goods have been imported.
- 3. **Bill of lading.** This is a document issued by the shipping company acknowledging receipt of goods on a ship.
- 4. **Consular invoice:** This is a document signed by a country's representative abroad from which the goods have been imported to verify that the goods are of good quality, reasonably priced and accepted in the country.
- 5. **Letter of hypothecation:** This is a letter from the exporter to the bank authorizing the bank obtain and sell goods sent to the importer if the importer fails to pay.
- 6. **Letter of credit:** This is a document issued by the importer's bank to the exporter guaranteeing payment to the exporter when goods are sold on credit.

#### **Types of letters of credit**

- (a) **Guarantee letter credit:** This is the one where the issuing bank secures a guarantee for refund at an agreed rate of interest or insists on sufficient security for granting a letter of credit.
- (b) **Documentary letter of credit:** This is the one where the promise to honour the obligation of payment is conditional on receipt of certain documents e.g bill of lading, certificate of origin etc.
- (c) **Irrevocable letter of credit:** This is the one which cannot be changed or modified without the approval of the beneficiary or the confirming bank.
- 7. **Calling forward note:** This is a document sent to the exporter informing him when the goods should be at the dock ready for loading.
- 8. **Shipping note:** This is a document issued by the ship owner giving details the goods shipped.
- 9. **Freight note:** This is a document issued by the shipping company to the exporter showing the shipping charges.
- 10. **Certificate of insurance:** This is a document send by the exporter to the importer to certify that the goods have been insured against possible risks while in transit.
- 11. **Air way bill:** This is a document issued by the airline company as a contract of carriage of goods and a document of title to the goods.
- 12. **Charter party:** This is an agreement between the ship owner and the person intending to hire a ship. It is a contract between a shipper and a ship owner.
- 13. **Weight note:** This is a document stating the weight of goods delivered at the dock.
- 14. **Import license:** This is a document issued by government authorizing the trader to import specified goods into the country.
- 15. **Export license:** This is a document issued by government to the trader authorizing him to sell specified goods abroad.
- 16. **Certificate of indemnity:** This is a document signed by the importer and his bank authorizing the importer to take possession of goods in case the goods arrive before receiving the bill of lading.
- 17. **Dock warrant:** This is a document of title for the goods that are stored at the dock. It is used when withdrawing goods from the dock.
- 18. **Certificate of inspection:** This is a document that certifies that the goods entering the country have been checked and conform to specified quality or sanitary standards e.g food stuffs.
- 19. **Ships manifest:** This is the document that gives details of goods loaded on a ship such as the name of the shipper, packing list of number of containers and specification of goods packed in each container.
- 20. **Pro-forma invoice:** This is the document sent by the exporter to the importer when the payment for the goods is expected before delivery.

#### **Terms of sale or price quotations in international trade**

These are expenses involved in international transactions, some of which are paid by the seller and are included in the price quoted to the importer while others are paid by the buyer or importer himself. They include;

- **Ex-works:** This price quotation includes only the cost of goods as they leave the seller's factory and all other expenses thereafter are to be paid by the buyer.
- **Free on Rail (FOR):** The price quoted included the charges for carriage of goods to the sellers' factory. It does not include railway freight.
- **Free on Truck (FOT):** The price quoted includes all expenses till the goods are loaded on the truck.
- **Delivered on Docks (DD):** The price quoted includes the cost of carrying goods to the docks. Docks are places where ships wait for cargo
- **Free Alongside Ship (FAS):** The price quoted includes all expenses till the good are placed alongside the ship; these expenses include packaging, carriage to the docks, dock handling charges, dock due but not loading expenses.
- **Free on Board (FOB):** The price quoted includes all the expenses to be met till the goods are placed on board the ship. It includes all the above expenses (F.A.S) plus loading expenses.
- **Cost and Freight (CF):** this covers all the above expenses (FOB) plus the shipping freight charges.
- **Cost, Insurance and Freight (CIF):** The price quoted includes all the expenses under C&F quotation plus insurance premiums to cover the goods against marine risks.
- **Cost, Insurance, Freight and Exchange (CLF&E):** The price quoted includes all the expenses covered by CIF quotation and also risks of exchange fluctuation.
- **Cost, Insurance, Freight and Interest (CIF&I):** The prices quoted include expenses covered by C.I.F&E quotation and also interest on the value of the goods.
- **Cost, Insurance, Freight interest and Commission (CIFI&C):** The price quoted includes all the items of expenses under CIF&I and also the commission of the agent who undertakes to import on behalf of the importer.
- **Landed:** The price quoted include all expenses to the port of destination plus unloading charges.
- **Duty paid:** The price quoted includes all the expenses mentioned above plus payment of custom duty.
- **Ex-quay:** It means that the seller has to transport goods up to the quay ie a place where goods anchor for loading or off-loading. This term is used in case of delivery of goods in internal routes made at the dock
- **In-bond (price in-bond or price in bond):** Price quoted includes all the items of expenses till the goods are delivered to the bonded ware house.
- **Franco (Free of expenses):** This price quoted includes all charges up to and including delivery of goods to the buyer's premises. This price quotation excludes the buyer from all expenses.
- **Loco (local price):** The price quoted is the one charged wherever goods are found. It is the responsibility of the buyer to arrange for packaging, insurance and transport to make goods reach his premises.
- **Loco (Ex-ware house):** This is the price quotation which indicates that the buyer will have to meet all the expenses of taking the goods from the seller's ware house.

#### **Factors that hinder international trade between countries**

- **Currency differences:** The differences in currencies used by countries involved limits international trade as the importers have to first convert the domestic currency into foreign currency before importing goods abroad.
- **Language differences (language barrier);** The use of different languages by different countries creates communication barrier between exporters and the importers thereby limiting international trade
- **Tariff barriers:** The high taxes imposed by government on imports increases their prices thereby limiting international trade.
- **Differences in weights and measures:** Countries use different weights and measures which limits exchange among countries.

- **Differences in cultures, customs and religions:** Countries have different cultures, customs and religions which hinders the free flow of goods and services between countries as some commodities are prohibited in some countries.
- **Long distance:** The long physical distances between countries make transport and communication difficult and result into high transport costs which limit trade.
- **Political or ideological differences;** Political and ideological differences or conflicts between countries hinder trade between countries.
- **Complicated documentation:** International trade involves many formalities and documents which limit trade between countries
- **Many risks:** The many risks involved in international trade such as loss or damage of goods in transit increase insurance costs to importers hence limiting international trade

### **Regional Cooperation/Economic Integration**

Economic integration is the coming together of several countries in a given region so as to promote trade for the sake of mutual economic benefits to all. Examples of regional economic integration include the Preferential Trade Area (P.T.A) for Eastern and Southern Africa, the East African Community (E.A.C), Common Market for Eastern and Southern African (COMESA), European Union (E.U) etc.

### **Stages of economic integration**

- (i) Preferential Trade Area:** This is where countries give preferential treatment in form of reduced tariffs on selected goods from member states.
- (ii) Free Trade Area:** This is where there is free trade among member states but with no common external tariff structure on goods from non- member states.
- (iii) Customs Union:** This is where there is free trade among member states and a common external tariff structure on goods from non- member states.
- (iv) Common Market:** This is where there is free trade among member states with a common external tariff structure on goods from non-member states and free movement of factors of production.
- (v) Economic Union (Economic Community):** This is where there is free trade among member states, common external tariff structure on goods from non-member states, harmonized economic and political policies as well as sharing and running of common services jointly.

### **Advantages of economic integration**

- It increases the size of market for a country's goods and services in the region.
- It increases the bargaining power of member states within the region.
- It increases employment opportunities due to increased production.
- Member countries can easily obtain aid and loans from donor countries and international bodies.
- It leads to improved quality of goods and services due to competition.
- It increases the volume of goods and services hence wider choice for consumers.
- It encourages international specialization with each member state concentrating on what it can produce at low costs.
- It promotes full utilization of resources due to big market.
- It leads to political cooperation and mutual understanding among members states.
- It leads to trade creation where countries shift from consuming products of high cost non- member states to those of low cost producers in the region of integration.

### **Disadvantages of economic integration**

- It may result into trade diversion i.e the shift from consuming products of non-member states at a low cost to those of high cost member countries in the area of integration
- It results into loss of customs revenue as a result of abolition of tariffs on goods from member states.
- It may result into loss of political sovereignty by member states.

- It may lead to uneven distribution of industries and development in the region.
- Member states may be compelled to buy inferior quality products from within the region instead of importing better quality products from non-member states.
- High administrative costs are incurred by member states.
- National economic interests may be sacrificed for the sake of the wider interests of the integration.
- The movement of goods and services may be in one direction leaving other countries without goods and services.

#### **Factors that limit/challenges of economic integration**

- **Production of similar goods and services:** The production of similar goods and services limits international specialization and exchange.
- **Poor transport and communication network:** The poor transport and communication network hinders the movement of goods and services in the region.
- **Political insecurity:** Political instability in countries in the region hinders regional trade eg Uganda, Sudan, D.R.C, Burundi Somalia etc.
- **Differences in level of development:** Some countries in the region are more developed than others e.g. Kenya is ahead of Uganda in industrial development.
- **Limited political will and commitment by the political leaders.** Some leaders in the region are still reluctant to implement economic integration.
- **Fear of loss of customs revenue:** Some countries depend heavily on customs revenue and thus fear economic integration or free trade may lead to loss of the customs revenue.
- **Conflicts among leaders:** The conflicts among leaders hinder economic integration eg Uganda and Rwanda, and DRC, etc.
- **Differences in political ideologies.** The lack of a common political ideology in the region limits economic integration.
- **Differences in currencies:** Lack of a common currency hinders regional trade.
- **Fear of unequal sharing of benefits.** There is lack of a common mechanism of sharing benefits among member states and this hinders regional economic integration.
- **Differences in social factors:** The differences in social factors such as customs, languages and religion hinder regional economic integration.
- **Limited public support:** There is limited political will and support from the public due to ignorance of the benefits of integration.

#### **Policy measures being taken by the government of Uganda to promote foreign trade in the region**

- **Regional economic integration i.e. formation of economic groupings.** This is aimed at promoting free trade in the region hence widening market for Uganda's exports.
- **Improvement of international transport and communication network.** The government is extending and improving both international transport and communication network so as to facilitate the movement of goods and services in the region.
- **Promotion and maintenance of political stability:** The government is promoting peace, security and stability in the region in order to encourage investment and trade.
- **International trade shows and exhibitions:** Through encouraging and facilitating international trade fairs and exhibitions, the government is able to market Uganda's exports and trade opportunities internationally.
- **Diversification of exports:** The government is diversifying Uganda's exports by encouraging export of many non- traditional cash crops e.g. vanilla, flowers, fruits, and fish.
- **Formation of export promotion institutions:** The government is putting in place export promotion agencies to promote international trade.

- **Liberalization of the economy:** The government is liberalizing the foreign exchange market by easing foreign exchange restrictions through allowing the setting up of private forex bureaus.
- **Easing the movement of people and factors of production.** The government is easing the movement of people and other factors of production across borders by removing many rigid immigration documents and introduction of the East African passport.
- **Removal of trade barriers (trade liberalization):** The government is removing many of the trade barriers and restrictions by liberalizing trade thus allowing free exchange of goods and services in the region.
- **Exchange of bilateral trade delegations:** The government is encouraging exchange of trade delegations between different countries in order to promote trade in the region.
- **Strengthening Commodity Agreements:** The Uganda government is making and strengthening commodity agreements to which she is a signatory in order to increase her bargaining power.
- **Adding value to exports:** The government is encouraging value addition to exports by processing them into finished products to make them more competitive internationally and hence fetches high prices.

#### **Differences between home trade and international trade**

- Home trade involves the movement of goods and services within the boundaries of a country while international trade involves the movement of goods and services across international boundaries of different countries.
- Home trade transactions involve the use of local currency e.g the Uganda shilling while international trade involves the use of foreign currencies such as the United States Dollar.
- Home trade is made up of retail trade and wholesale trade while international trade is made up of export trade and import trade.
- Home trade involves simple formalities and few documents while international trade involves elaborate formalities and many documents.
- Goods in home trade are subjected to few restrictions while those international trade are subjected to many restrictions.
- Home trade involves the use of local languages while international trade involves the use of foreign languages.
- Home trade involves the use of local advertising media while international trade involves the use international advertising media.
- Goods in home trade are subjected to excise duties while that international trade is subjected to customs duties.
- Few risks are involved in home trade while many risks are involved in home trade in international a trade.
- Road and railway transport are mainly used in home trade while water and air transport are mainly used in international trade.
- Home trade involves smaller market while international trade has a wider market.
- Goods in home trade are kept in public ware houses while those in international trades are kept in bonded warehouses.

**END**